

The Labor Market Consequences of Acquisitions

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Abstract

Using Swedish administrative data and a stacked difference-in-differences design, we estimate substantial, persistent worker earnings losses following corporate acquisitions. Losses reflect displacement and lower earnings among target-firm stayers. We find no evidence that increased monopsony power explains stayer losses. These losses concentrate in acquisitions with pre-existing connections between the acquirer and target, particularly when an acquirer employee served on the target's board before the transaction. In acquisitions with these board connections, acquirer profits and CEO pay rise while combined employment and revenue remain broadly stable. This joint pattern is consistent with rent redistribution from target workers toward executives and shareholders.

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1 Introduction

When one firm acquires another, the effects may extend beyond shareholders to consumers and workers. Traditional antitrust policy centers on consumer welfare, guarding against the risk that acquirers restrict output and raise prices. By contrast, the impact on workers is theoretically ambiguous, and the empirical literature offers limited consensus.¹ On the one hand, wages may rise if acquisitions improve profitability or efficiency and firms share these gains with employees. On the other hand, the gains from acquisitions may come at labor’s expense—either through lower wages, potentially due to increased market power in the labor market, or through layoffs tied to post-acquisition restructuring.

In this paper, we provide new evidence on the effects of corporate acquisitions on workers’ earnings and employment. Using comprehensive administrative data on Swedish workers, firms, and their acquisition activity, we document substantial earnings losses following acquisitions. These losses reflect both layoffs and earnings declines for incumbent workers. We find no evidence that increased monopsony power explains the earnings declines among target-firm stayers. Our findings instead suggest that acquisitions can change how firms share rents with workers, even without increasing their labor market power.

To estimate the impact of acquisitions, we use a stacked difference-in-differences design, comparing workers and firms who experience an acquisition at a given point in time to units who experience such an event a few years later. By exploiting differences in event timing, we compare units that experience acquisitions at different dates rather than relying on comparison to units that never experience acquisitions (Fadlon and Nielsen, 2021; Nekoei and Seim, 2023). This approach restricts the control group to not-yet-treated units, thereby avoiding “forbidden comparisons” (Borusyak et al., 2024).

Corporate acquisitions lead to substantial and persistent earnings losses. In the five years following the event, workers’ earnings are, on average, 5 percent lower. These losses arise through both job displacement and lower earnings among workers who remain employed at the acquiring firm. Among these stayers, the decline is driven almost entirely by target-firm workers, whose earnings fall by about 3 percent. Job displacement is also substantial: five years after the acquisition, workers are 4 percentage points less likely to remain employed at the acquiring firm, largely reflecting separations among target-firm employees. Acquisitions thus account for a large share of displacement in the economy, and the resulting earnings losses—around 15 percent for separating workers—closely mirror those documented in the literature on mass layoffs (Jacobson et al., 1993; Seim, 2019; Lachowska et al., 2020; Schmieder et al., 2023).

Decomposing the earnings losses—accounting for both within-group average effects and relative group sizes—we find that earnings declines among workers who remain at the acquiring

¹Recent studies on the effects of mergers and acquisitions on workers include Arnold (2021), Arnold et al. (2024), and Lagaras (2024). For a broader overview, see citations therein.

firm account for 17 percent of the total effect. The remaining losses reflect displacement: 66 percent from non-employment and 17 percent from transitions to other firms. The new employers offer lower pay premia, are smaller and less profitable, and provide lower overall job quality than the firms workers leave, implying that the displacement effect in part reflects transitions to lower-quality jobs.²

Our findings provide little support for an efficiency-enhancing channel of acquisitions. Although acquiring firms initially expand in employment and revenue as they absorb the target, we find that they subsequently contract as they scale down output and lay off workers. Overall, the combined employment at both firms falls by about 30 percent post-acquisition, and revenue by about 40 percent. Moreover, acquirers do not experience profit gains on average, and profits for the combined entity decline post-acquisition.³

Our results are not driven by acquisitions of poorly performing target firms that would likely have ceased operations absent the acquisition. To show this, we estimate both worker and firm-level effects of acquisitions depending on the growth trajectories of target firms in the years preceding acquisitions. We find similar and statistically indistinguishable effects across target firms on upward versus downward trajectories.

Why do earnings of stayers decline following acquisitions? A natural hypothesis is that acquisitions *increase* firms' labor market power, enabling them to reduce wages.⁴ Acquisitions may increase firms' labor market power by reducing the number of labor market competitors or narrowing workers' set of outside options (Berger et al., 2022; Jarosch et al., 2024). However, we do not find evidence in support of this hypothesis in our setting, in contrast with recent evidence from the U.S. (Arnold, 2021; Prager and Schmitt, 2021). First, the estimated earnings reductions are concentrated among target-firm workers, with no effect on the earnings of acquirer workers, even within the same local labor markets. Second, firms rarely acquire their direct labor market competitors. And even when they do, effects are similar. Third, earnings declines are not larger in acquisitions predicted to increase local labor market concentration, regardless of how concentration is defined. Fourth, we find that acquisitions have no effect on the earnings of new hires, suggesting that the observed earnings effects are not driven by potentially narrower outside options induced by acquisitions.

We next consider two explanations that operate through changes in firms' pay-setting arrangements. First, acquisitions may disrupt implicit contracts between workers and incumbent management (Shleifer and Summers, 1988). This mechanism predicts larger earnings losses

²We do not find evidence that worker-firm-specific match effects drive these results, in contrast with recent evidence from Canada (Arnold et al., 2024).

³The effects on firm performance are consistent with a large literature in corporate finance and industrial organization on the impact of mergers and acquisitions on revenue and profits (e.g. Schoar, 2002; Davis et al., 2014; Malmendier et al., 2018). Possible motivations include strategic killer acquisitions—aimed at preserving long-run market power (Cunningham et al., 2021), or managerial motives such as empire building (Jensen, 1986) or overconfidence (Malmendier and Tate, 2005).

⁴For a recent discussion on the role that mergers and acquisitions (M&As) may play in suppressing wages through increases in labor market concentration, see, e.g., Marinescu and Posner (2019); Marinescu and Hovenskamp (2019).

when the target CEO leaves following the acquisition or among workers with longer tenure. Instead, we find that earnings decline regardless of whether the target CEO remains, and the losses are concentrated among workers with relatively low tenure. Second, acquisitions may lead firms to harmonize pay policies across the acquirer and target. This mechanism predicts larger declines when the target initially pays more than the acquirer. We find the opposite: target-stayer earnings decline more when the acquirer initially pays more. These findings cast doubt on simple implicit-contract and pay-harmonization explanations.

We next examine whether the joint behavior of worker earnings, CEO pay, and firm outcomes is consistent with a change in rent sharing. To the extent that rents exist, potentially due to the presence of labor or product market power, an acquisition-induced change in how rents are shared between firms and workers can reduce wages and increase profits.⁵ Changing the target's pay policies may be easier when the acquirer is already familiar with its operations and compensation practices (Cai and Sevilir, 2012). We therefore use two measures of pre-existing connections between the acquirer and target. First, we identify common-manager acquisitions, in which an employee of the acquiring firm served on the target's board one year before the acquisition. Second, we identify acquisitions in which the acquirer and target belonged to the same firm group before the acquisition. The two measures overlap substantially, and we therefore treat them as complementary measures of pre-existing connections.

Target-stayer earnings losses are concentrated in acquisitions involving either form of connection. In common-manager acquisitions, target-stayer earnings decline by about 3 percent, while the effect in acquisitions without a common manager is close to zero. Acquisitions involving common managers are also associated with increased CEO pay and higher acquiring-firm profits, without a corresponding expansion in the scale of the combined firm. We estimate that the lower earnings of target workers could account for about one third of the profit gains. Same-group acquisitions display broadly similar patterns. The inverse relationship between target-worker earnings, on the one hand, and acquiring-firm profits and CEO pay, on the other, is consistent with a redistribution of rents from target workers toward executives and shareholders, although our findings do not identify why pre-existing connections are associated with different post-acquisition outcomes.

One remaining possibility is that increased product-market power or scale economies reduce labor demand and lower wages as firms move down their labor supply curve. These mechanisms would generally be expected to affect combined employment or revenue. Yet in common-manager acquisitions, where target-stayer earnings losses are concentrated, combined employment and revenue remain broadly stable. We find a similar pattern when the acquirer and target belonged to the same firm group before the acquisition. This evidence is not consistent with a mechanism in which target-stayer earnings fall because acquisitions reduce labor demand.

⁵Earlier work has documented evidence of rent-sharing, showing that workers in industries and firms with higher profits receive higher wages (Blanchflower et al., 1996; Van Reenen, 1996; Hildreth and Oswald, 1997; Kline et al., 2019).

Our findings have implications for how mergers and acquisitions are evaluated. Conventional arguments emphasize efficiency gains, with productivity improvements generating higher profits and potential benefits for workers through rent sharing (Williamson, 1968; Asker and Nocke, 2021). On average, acquisitions in our sample instead reduce combined employment and revenue and generate substantial earnings losses for workers. In acquisitions involving pre-existing connections, target-stayer earnings decline while acquiring-firm profits and CEO pay increase, without a corresponding expansion in combined firm scale. These patterns suggest that the labor-market consequences of acquisitions may depend not only on changes in employment and market structure, but also on how rents are divided between firms and workers.

Related Literature Our paper connects to three main bodies of research. First, we contribute to the literature evaluating the labor market consequences of mergers and acquisitions (M&As) (Brown and Medoff, 1988; Siegel and Simons, 2010; Dessaint et al., 2017; Ouimet and Zarutskie, 2020). In particular, Lagaras (2024) and Arnold et al. (2024) document large earnings losses in Brazil and Canada, driven by worker displacement, and negative effects on firm performance, while Arnold (2021) and Prager and Schmitt (2021) estimate that merger-induced increases in labor market power lead to wage reductions among workers in U.S. firms and hospitals. In contrast to these studies, we estimate earnings reductions only among target-firm workers who remain employed by the acquirer. We find no evidence that increased monopsony power explains these earnings declines. We also find no evidence that disruptions of implicit contracts or a harmonization of pay policies can account for the earnings decline of target workers.

Second, we contribute to a literature on the role of managers in shaping firm policies and influencing their outcomes (e.g. Bertrand and Schoar, 2003). Recently, Acemoglu et al. (2023) and He and le Maire (2022) have studied the role of managers in shaping firms' pay policies, documenting manager-specific pay premiums that transfer between firms and changes in rent-sharing practices following the arrival of managers with business education. Complementing this work, we show that pre-existing personnel connections predict a joint pattern of lower target-worker earnings and higher acquiring-firm CEO pay and profits following acquisitions, consistent with managers influencing how rents are divided within firms.

Third, our paper connects to the literature on board interlocks and ownership connections (Mizruchi, 1996; Haunschild and Beckman, 1998), and their relationship with the likelihood and success of mergers and acquisitions (e.g. Renneboog and Zhao, 2014; de Sousa Barros et al., 2020). Notably, Cai and Sevilir (2012) find higher announcement returns for acquiring firms in M&As where acquiring and target firms share a common board member, possibly due to better information acquisition. Azar (2012) documents that firms with overlapping institutional investors are more likely to share directors, showing that board interlocks are systematically related to shared ownership. Related work shows that common institutional ownership can soften product-market competition (Azar et al., 2018). While our ownership measure instead

captures membership in the same corporate group, we add to this literature by documenting that personnel and ownership connections overlap substantially and are associated with qualitatively similar post-acquisition outcomes.

The remainder of our paper is organized as follows. In Section 2, we describe our data and estimation samples. Section 3 outlines our empirical strategy. Section 4 presents the worker- and firm-level effects of acquisitions. Section 5 explores explanations for the earnings declines among target-firm stayers. Section 6 concludes.

2 Empirical Setting and Data

Our sample covers Swedish firms and workers from 1997 to 2019 and draws on several linked administrative data sources. We merge these data with data on corporate acquisitions from the Serrano database, which covers all acquisitions registered at the Swedish Companies Registration Office (*Bolagsverket*). All acquisitions are complete takeovers where the acquirer absorbs the target, which ceases to exist as a separate legal entity. We construct two estimation samples: one focused on worker outcomes and the other on firm outcomes.

Worker Sample. We merge employer-employee data with other administrative sources (see Appendix Section A1). We keep the main employment of all prime-working-age workers in between 23 and 60 who work at firms that, on average, have at least 5 employees over our sample period. We assign workers to firms based on their employment in the year before the acquisition and restrict the sample to acquisitions where both firms appear in the employer-employee data. If a worker experiences more than one acquisition, we keep one of the events at random.

Firm Sample. In our firm sample, we merge firms' employment, measured by the number of employed workers according to the employer-employee data, with balance sheet information for all non-financial, limited liability companies in Sweden. All our results on acquiring firms' outcomes and on the joint employment of acquirer and target firms refer to this sample. Results on joint revenues and profits of acquiring and target firms are based on a subsample where both firms are observed in the employer-employee data and the balance sheet data.⁶ If an acquirer has multiple acquisitions, we keep one at random. We balance our sample by ensuring that the acquiring firm is observed throughout the full event window surrounding the acquisition.

We complement the firm sample with data on board members and CEOs from the Serrano data, linked to the administrative data. We define an acquisition as involving a common manager if, in the year before the acquisition, an employee of the acquiring firm sits on the target's board. These employees typically hold senior managerial or executive positions (see Appendix

⁶Target firms are less likely to be covered in the balance sheet data. Therefore, the sample for joint outcomes is smaller than the one covering only acquiring firms.

Section A1). We use Statistics Sweden’s Business Register to identify whether the acquirer and target belonged to the same corporate group one year before the acquisition. Firms belong to the same corporate group if one directly or indirectly controls the other through a majority of the voting rights, or if both are controlled by the same ultimate parent company.

Empirical Setting. Between 1997 and 2019, there were 37,624 corporate acquisitions. Over this period, roughly 23 percent of Swedish workers experienced at least one acquisition. Restricting the sample to acquisitions in which both acquiring and target firms employed at least five workers in Sweden results in 6,147 events. Around 11 percent of workers were affected by at least one such acquisition. To ensure that we can follow workers and firms over a sufficiently wide window before and after the acquisition, we restrict our samples to acquisitions between 2002 and 2012. Our worker sample includes 3,521 acquisitions, and the firm sample 1,692 acquisitions. For further description, see Appendix Section A2.

3 Empirical Strategy

We use a difference-in-differences (DiD) design around acquisitions to study effects on workers and firms. Because workers and firms (units) involved in acquisitions may differ from non-acquiring units in both levels and, more importantly, trends of outcomes, we compare units that undergo acquisitions to units that will do so but have not yet experienced one. This design exploits the *timing* of acquisitions as the event (Fadlon and Nielsen, 2021; Nekoei and Seim, 2023). Specifically, we compare units treated in year t to those treated in $t + \delta$. Thereby, control units will be not-yet-treated during the event window, avoiding “forbidden comparisons” (Borusyak et al., 2024).

We estimate the following event-study specification:

$$y_{it} = \sum_{k \neq -1} \beta_k \times \mathbb{1}\{s = k\} \times D_i + \gamma_i + \gamma_{s \times c} + \varepsilon_{it}, \quad (1)$$

where y_{it} is the outcome of interest for observation i in year t , where i refers to a unit in a given treatment year cohort c since the same unit can appear in both treatment and control group. $\mathbb{1}\{s = k\}$ equals 1 if event time $s = k$, D_i is a treatment group indicator, and γ_i and $\gamma_{s \times c}$ are unit-by-cohort and event-time-by-cohort fixed-effects. The coefficients β_k capture the difference between treatment and control group in event year k relative to the baseline year before the event, $s = -1$. In our baseline, we set $\delta = 7$ and follow units for five years after acquisitions. In order to evaluate the robustness of our results to this choice, we also present results where we vary δ . Standard errors are two-way clustered at the worker and event level for worker outcomes and at the firm level for firm outcomes. To account for differences in the life cycle of workers and firms, we reweight control units to match the distribution of treated units. In the worker sample, we reweight on 10 age bins interacted with gender and educational degree, measured in period $s = -5$. In the firm sample, we reweight on 2-digit industry and

20 employment-size bins, also measured in $s = -5$.

The identifying assumption is that treated units would have followed the same trend as not-yet-treated units absent acquisition. To evaluate this assumption, we plot the pre-event coefficients, β_k , in our event-study graphs. Across a wide range of outcomes for both workers and firms, we find no evidence of differential pre-trends. A further implication is that acquirers do not systematically purchase firms that would otherwise fail. To examine this, we split the sample by whether the target firm exhibited an upward or downward trend in the years preceding the acquisition. Reassuringly, the results for both workers and firms are very similar across the two groups, supporting the validity of our design.

When analyzing multiple outcomes, we report average post-event effects estimated from the following static DiD specification

$$y_{it} = \beta \times P_t \times D_i + \gamma_i + \gamma_{s \times c} + \varepsilon_{it} \quad (2)$$

where P_t is an indicator for post-acquisition periods. β captures the average difference between treated and control units in the five years following the acquisition.

4 Effect of Acquisitions on Workers and Firms

4.1 Effect on Workers

In this section, we examine the effects of acquisitions on the labor market outcomes of incumbent workers at acquiring and target firms.

Effect on labor income. Figure 1a shows that labor incomes of affected workers fall relative to those of control workers by an average of 4.9 percent over five years. The losses are substantially larger for workers at target firms than for those at acquiring firms (7 percent vs. 4 percent). To illustrate the empirical design, Appendix Figure A5.4 plots average incomes of the treatment and control groups before and after acquisition. The figure shows that income growth among the treated group lags behind that of the control group following the acquisition.⁷

These effects can reflect slower wage growth among stayers, earnings changes following moves to other firms, or reduced employment. We next provide evidence on these channels. Figure 1b shows that income declines are concentrated among target-firm workers, whose earnings fall by 3.8 percent relative to matched controls five years after the transaction. By contrast, we find little evidence of pay reductions among acquiring-firm stayers.

The decline in income also reflects increased separations from the acquiring firm. In Appendix

⁷We also find negative effects of acquisitions on both hourly wages and working hours for those workers who we observe in the Structure of Earnings dataset (Appendix Figure A5.8). The decline in overall labor income is somewhat smaller in this sample than in our main estimation sample (Appendix Table A6.2).

Figure A5.7a, we show that, for acquiring-firm workers, the likelihood of remaining employed at the acquiring firm drops by 1.5 percent on average, though the effect is not statistically distinguishable from zero. In contrast, the effect for target-firm workers is substantially larger, at 10.4 percent. While acquirer workers do not separate at higher rates than controls, income losses upon separation are large. Appendix Figure A5.7b reports the effect on income among workers who switch employers post-acquisition, revealing an average labor income loss of approximately 5 percent among both acquirer and target workers.⁸ In Appendix Section A4, we show that these declines in labor income are driven by switches to lower-quality jobs while worker-firm match effects do not play an important role.

Overall, these findings indicate that corporate acquisitions negatively impact labor income trajectories of incumbent workers, with the adverse effects borne predominantly by those at target firms.

How do the labor income losses from acquisition-induced job displacement compare to estimates from the mass layoff literature (Jacobson et al., 1993)? In Figure 1c, we follow workers who separate from the acquiring firm at different points in time—either entering unemployment or transitioning to another firm—and examine their labor income losses. Like stayers, separating workers experience gradual relative income declines before separation. In the year of the separation, workers incur a large drop in income of about 10 percent to 17 percent. The magnitude of these losses is comparable to, though at the upper end of, estimates from the literature on mass layoffs in Sweden (e.g. Seim, 2019; Athey et al., 2024), other European countries (e.g. Bertheau et al., 2023), and the US (e.g. Jacobson et al., 1993). Unlike the mass layoff literature, losses remain stable throughout our sample, with no recovery.

Robustness. To evaluate the robustness of our estimated effects on income, we estimate the difference-in-differences regression varying the choice of our control group. Specifically, we vary the number of years (δ) until control workers experience an acquisition. This naturally affects the number of post-event periods for which we can estimate effects. As Appendix Figure A5.5 documents, the estimates remain robust to the choice of control group. In Appendix Figure A5.6, we split the sample by whether the target firm experienced growth in employment or profits in the years preceding the acquisition. The estimates are similar and statistically indistinguishable across target firms on upward versus downward trajectories. This provides strong evidence that our results are not driven by acquisitions of firms that would otherwise have gone bankrupt.

Decomposing the average effects. Our baseline estimate of average labor income decline post-acquisition reflects different margins of adjustment—transitions into non-employment, to other employers, and income declines among stayers. To quantify the contributions of these margins, we implement the approach of Nekoei et al. (2024). We partition our sample into three disjoint groups $\pi_{it} = p$ for some $p \in P$. The groups are:

⁸For further analysis of heterogeneity in effects, see Appendix Section A3.

- a. *Extensive margin*: workers who are not employed in a given year;
- b. *Intensive margin - switchers*: employed workers who no longer work at the acquiring (or pre-acquisition target) firm in a given year;
- c. *Intensive margin - stayers*: workers who remain employed at the acquiring (or pre-acquisition target) firm in a given year.

For each worker i with outcome y_{it} in year t , we assign a control outcome $y_{c(i)t}$, which is the average outcome of control workers in the respective treatment cohort, and generate

$$y_{it}^p = y_{it}\mathbb{1}\{\pi_{it} = p\} + y_{c(i)t}\mathbb{1}\{\pi_{it} \neq p\}. \quad (3)$$

We then decompose average treatment effects along the three margins, as

$$\frac{1}{N_t} \sum_i y_{it} - y_{c(i)t} = \sum_{p \in P} w_{pt} \bar{\Delta}_{pt} \quad (4)$$

where N_t is the number of observations, $w_{pt} = \frac{N_{pt}}{N_t}$ is the share of workers in partition p , and $\bar{\Delta}_{pt} = \frac{1}{N_{pt}} \sum_{i:\pi_{it}=p} y_{it}^p - y_{c(i)t}$ is the average effect within each partition. This approach estimates each margin's contribution, capturing both within-partition effects and group shares.

We plot the results of this decomposition in Figure 1d. In the first year after the acquisition, the extensive margin accounts for nearly the entire decline in labor income. Over time, the intensive margin becomes more important. After five years, 66 percent of the overall effect can be attributed to the extensive margin, 17 percent to income losses among switchers, and 17 percent to lower pay of workers who stay at the acquiring firm.

4.2 Effects on Firm Outcomes

We next examine the effects of acquisitions on firms' employment, revenue, and profits. Employment and revenue capture changes in firm scale, while profits measure performance, potentially reflecting shifts in productivity, prices, or wages.

Figure 2 reports two sets of estimates.⁹ First, we estimate effects on the acquiring firm, which absorbs the target firm during the acquisition. Second, we analyze combined outcomes for the acquiring and target firms, as targets cannot be tracked separately after the transaction.

Employment at the acquiring firm jumps by 37 percent in the acquisition year (Figure 2a), then declines to 18 percent above pre-acquisition levels. Combined employment (Figure 2b) falls steadily after the acquisition. Revenue shows a similar pattern: acquiring firm revenue rises by 20 percent initially (Figure 2c), but combined revenues drop sharply and remain 37 percent below baseline after five years (Figure 2d). These patterns imply that acquisitions expand the scale of the acquirer while overall activity contracts, consistent with consolidation and reduced aggregate firm output.

⁹Appendix Figure A5.10 displays mean outcomes for treated and control firms, before and after the event.

We find no evidence that, on average, acquisitions raise profits. Acquiring-firm profits fall slightly, with small and insignificant effects (Figure 2e), while combined profits decline more substantially (Figure 2f).¹⁰ These results provide little evidence of profitability gains from acquisitions in our Swedish setting as acquiring-firm profits do not increase, while profits for the combined acquirer–target entity decline.

Robustness. We perform robustness checks analogous to those in the worker sample. Appendix Figure A5.11 shows that the firm-level results are stable across alternative control groups when varying the number of years (δ) until control firms undergo an acquisition. Moreover, the effects on acquiring firms’ outcomes are very similar whether target firms were on an upward or downward trajectory prior to the acquisition (Appendix Figure A5.12).

5 Why Do Target Stayers’ Earnings Decline?

A central finding of our analysis is that workers from the target firm who remain employed at the acquiring firm after an acquisition experience systematic earnings declines. In this section, we seek to understand the mechanisms behind this result. We consider four broad explanations. First, acquisitions may increase concentration in local labor markets, enabling firms to suppress earnings through enhanced monopsony power (Marinescu and Hovenkamp, 2019; Marinescu and Posner, 2019). This channel is consistent with U.S. evidence showing that hospital mergers reduce wage growth for stayers (Prager and Schmitt, 2021) and that large mergers and acquisitions depress earnings at the labor-market level (Arnold, 2021). Relatedly, changes in product-market power or scale economies may reduce firms’ demand for labor. The remaining explanations concern wage setting within the firm: acquisitions may disrupt implicit contracts between target workers and management, harmonize the target’s pay policies with those of the acquirer, or reduce the share of rents accruing to workers even absent changes in monopsony power. We find little evidence that the target-stayer earnings declines reflect changes in market power or labor demand, the disruption of implicit contracts, or pay-policy harmonization. Our results are also inconsistent with lower labor demand due to product-market power or scale economies. Instead, the losses are concentrated in acquisitions involving pre-existing connections between the acquirer and target, where acquiring-firm CEO pay and profits also increase without a corresponding expansion in combined firm size. This joint pattern is consistent with a decline in rent sharing.

5.1 Changes in Market Power and Labor Demand

Changes in monopsony power. We use two complementary approaches to assess whether changes in monopsony power can account for the observed pay declines.

¹⁰See Appendix Figure A5.13 for results on different measures of firm profitability.

First, we examine whether acquiring firms typically purchase target firms that are direct competitors in the labor market. We measure direct competition as the share of worker transitions from the acquirer to the target in the seven years preceding the acquisition, relative to all workers who left the acquirer for another employer. In roughly 83 percent of acquisitions, we observe no such transitions. Appendix Figure A5.14 shows the distribution of transition shares for the remaining 17 percent. Figure 3a compares post-acquisition earnings effects for stayers in acquisitions with and without prior worker transitions. If wage cuts reflected a reduction in outside options, we would expect larger declines when both firms had competed for the same workers. Instead, the estimates are nearly identical.

Second, we turn to the local labor market level, defined as the intersection of a 3-digit occupation and a municipality. We restrict the sample to workers from whom the acquirer and target operate in the same local labor market and group them into tertiles based on the predicted increase in the acquirer’s employment share, defined as the target firm’s pre-acquisition share. If monopsony power were driving our worker effects, we would expect larger income declines in acquisitions generating greater increases in concentration (Azar et al., 2020; Jarosch et al., 2024). Figure 3b plots the effects on two main outcomes—employment and labor income conditional on employment—by tertile. We find no evidence that acquisitions leading to greater concentration produce larger employment or income losses. These results are robust to alternative definitions of local labor markets (Appendix Figure A5.15a). Appendix Figure A5.15b shows a similar null result when restricting to stayers, and Appendix Figure A5.16 shows no post-acquisition changes in the incomes of new hires at the acquiring firm, measured in levels or residualized by worker characteristics.

Changes in product-market power and scale economies. One set of alternative mechanisms for reduced stayers’ earnings is increased product-market power or scale economies. These mechanisms could reduce labor demand and lower wages as firms move down their labor supply curve. They would generally be expected to affect combined employment or revenue. Yet in common-manager acquisitions, where, as we show below, target-stayer earnings losses are concentrated, combined employment and revenue remain broadly stable. We find a similar pattern when the acquirer and target belonged to the same firm group before the acquisition. This evidence offers little support for a simple explanation in which target-stayer earnings fall because acquisitions reduce labor demand.

5.2 Breach of Trust and Implicit Contracts

Another possible explanation for the earnings declines among target stayers is that acquisitions disrupt implicit contracts between workers and target management (Shleifer and Summers, 1988). If these relationships help sustain compensation arrangements that would otherwise be difficult to enforce, earnings losses should be larger when the target CEO leaves following the acquisition. Similarly, models of backloaded compensation imply that losses should be

concentrated among workers with longer tenure, whose compensation is more likely to reflect accumulated relational rents (e.g. Lazear, 1979).

We first examine whether the earnings effects depend on whether the target CEO remains employed by the acquirer in a managerial role following the acquisition.¹¹ Figure 4a shows that target-stayer earnings decline regardless of whether the target CEO remains. The estimated decline is slightly larger when the CEO does not remain, at approximately 2.2 percent compared with 1.8 percent when the CEO remains, but the difference is small relative to the standard errors. Moreover, target CEOs are, if anything, more likely to remain following common-manager acquisitions, where the earnings losses among target stayers are concentrated (Appendix Figure A5.18). Because CEO retention is itself a post-acquisition outcome, we interpret these comparisons as descriptive.

We next split workers according to their tenure at the firm one year before the acquisition. Contrary to the prediction from a backloaded-compensation mechanism, Figure 4b shows that the earnings losses among target stayers are concentrated among workers with low tenure. Their earnings decline by approximately 3.3 percent, whereas the estimated effect for high-tenure target workers is close to zero. Taken together, these findings cast doubt on a simple explanation in which acquisitions reduce target-worker earnings primarily by disrupting implicit contracts sustained by incumbent management.

5.3 Pay-Policy Harmonization

An alternative explanation for the earnings declines among target stayers is that the acquiring firm harmonizes the target's pay policy with its own. This mechanism implies convergence in pay across the two firms. Target workers should therefore gain when the acquirer initially pays more than the target and lose when the acquirer initially pays less.

To test this explanation, we calculate average log annual labor income at the acquirer and target before the acquisition, using all employees with positive income rather than only stayers. For each acquisition, we average firm pay over the common observed years from five to one years before the event and define the pay gap as acquirer pay minus target pay. Figure 5a splits acquisitions according to whether the acquirer initially pays more or less than the target. Contrary to the harmonization prediction, target-stayer earnings decline more when the acquirer initially pays more. The estimated decline is approximately 2.6 percent in these acquisitions, compared with 0.9 percent when the acquirer pays less, although the estimates are imprecise.

Differences in average pay might reflect differences in worker composition rather than firm pay policies. We therefore repeat the analysis after residualizing worker pay by age, year, education, gender, and county. Figure 5b shows that our results remain virtually the same:

¹¹We identify the target CEO in the year before the acquisition using the Serrano data and occupational classifications. We classify the CEO as remaining in a managerial role if they are employed by the acquirer one year after the acquisition and are identified as a CEO in the Serrano data, hold a managerial occupation, or rank among the three highest-paid employees at their establishment.

target-stayer earnings decline by approximately 2.5 percent when residualized acquirer pay exceeds target pay, compared with insignificant 1.1 percent when it does not. These findings cast doubt on a simple pay-harmonization mechanism in which target-worker pay converges toward the acquirer’s pre-acquisition pay level.

5.4 Decline in Rent-Sharing

An alternative explanation for the decline in target-firm stayers’ earnings is that acquisitions change firms’ pay policies—specifically, the extent to which profits are shared with workers—even absent changes in monopsony power. While firms may possess monopsony power, they may not be able to fully exploit it, e.g., when workers have some collective bargaining power (Wong, 2025). Thus, acquisitions need not increase firms’ monopsony power to reduce the share of rents accruing to workers. We provide evidence consistent with this interpretation. In this view, acquisitions may serve not only to reorganize production but also to reshape the division of rents between firms and workers.

To examine this interpretation, we distinguish acquisitions using two measures of pre-existing connections between the acquirer and target. First, we identify common-manager acquisitions, in which an employee of the acquiring firm served on the target’s board one year before the acquisition. As documented in Appendix Section A1, these employees typically hold senior managerial or executive positions. Board interlocks may provide acquiring-firm executives with information about the target’s operations and pay-setting practices (Cai and Sevilir, 2012; Mizruchi, 1996).¹² Second, we identify acquisitions in which the acquirer and target belonged to the same firm group one year before the acquisition. This measure captures a pre-existing ownership connection rather than a personnel connection. Both forms of connection may give the acquirer greater familiarity with the target’s operations, potentially making it easier to change its pay policies following the acquisition. The two measures overlap substantially.¹³ We therefore treat them as complementary measures of pre-existing connections rather than attempting to distinguish their separate effects.

Figure 6 shows that target-stayer earnings losses are concentrated in acquisitions involving these pre-existing connections. Panel (a) shows earnings declines of about 3 percent for target-firm stayers in common-manager acquisitions, while the effect in acquisitions without a common manager is close to zero. Earnings changes among acquirer stayers are small in both groups. Panel (b) shows a similar, though somewhat less pronounced, pattern when we split acquisitions by whether the acquirer and target belonged to the same firm group before the acquisition. By themselves, these comparisons do not establish a change in rent sharing. Our

¹²See Appendix Figure A5.17 for differences in the characteristics of acquisitions with and without common managers.

¹³In our sample, 77 percent of acquisitions are between firms in the same firm group and 74 percent involve a common manager. A common manager is present in 83 percent of same-group acquisitions, compared with 45 percent of different-group acquisitions. Conversely, 86 percent of common-manager acquisitions are between firms in the same firm group. Appendix Figure A5.19 traces these relationships over the five years preceding the acquisition.

interpretation instead rests on the joint behavior of worker earnings, CEO pay, and firm outcomes, to which we turn next.

While target workers who remain at the acquiring firm experience a loss in labor income, the opposite holds for the acquiring firm's CEO. Figure 7a shows CEO pay in acquisitions with and without a common manager. In common-manager acquisitions, acquiring-firm CEO pay increases by about 14 percent, on average, during the five years following the acquisition. In acquisitions without a common manager, CEO pay instead declines by roughly 27 percent.¹⁴

Firm outcomes mirror those of CEOs. Figure 7b compares revenue, employment, and profits in acquiring firms across the two types of acquisitions. In cases without a common manager, we find little change in scale, as measured by revenue and employment, but a decline in profits. By contrast, in acquisitions with a common manager, both scale and profits rise. Figure 7c shows similar patterns for combined acquirer-target outcomes: performance remains broadly stable with a common manager but deteriorates substantially otherwise. Appendix Figure A5.20 repeats these comparisons by same-group status. The estimates are less precise but display broadly similar patterns in CEO and firm outcomes.

One concern is that common-manager acquisitions differ from other acquisitions along observable dimensions. Appendix Table A6.4 therefore replicates the results in Figures 6a and 7, reweighting the non-common-manager sample to match the distribution of observable acquisition characteristics in the common-manager sample.¹⁵ The resulting estimates are similar, showing that the patterns are robust to balancing these observed characteristics.

The inverse relationship between the effects on target workers' pay, on the one hand, and acquiring-firm CEO earnings and profits, on the other, is consistent with a redistribution of rents from workers to executives and shareholders. Since combined employment and revenue remain roughly constant following common-manager acquisitions, the target-worker earnings reductions could account for part of the increase in acquiring-firm profits. Back-of-the-envelope calculations suggest that these reductions may account for up to 33 percent of the profit increase.¹⁶

Taken together, common-manager acquisitions are characterized by (i) earnings declines among target stayers, (ii) increases in acquiring-firm profits and CEO pay, and (iii) no corresponding expansion in combined firm size. Same-group acquisitions display broadly similar, though less precisely estimated, patterns. This joint pattern is difficult to reconcile with scale or product-market-power explanations but is consistent with a redistribution of rents from target workers toward executives and shareholders.

¹⁴In Appendix Figure A5.22, we investigate the role of CEO characteristics and quality for firm-level outcomes, finding limited evidence that these characteristics substantially influence acquisition outcomes.

¹⁵Panel B of Appendix Table A6.4 repeats this exercise for our same-firm-group split.

¹⁶The absolute increase in acquiring firms' profits after common-manager acquisitions is 556,000 SEK. Total payroll for target workers at the average firm in the year before the acquisition is 7.2 million SEK, with an average pay reduction of 2.56 percent. Holding employment, productivity, and prices fixed, these reductions correspond to 33 percent of the increase in profits. If we also include the statistically insignificant decline in acquirer-worker income, the corresponding share is 55 percent.

6 Conclusion

We study the consequences of corporate acquisitions for workers and find that they are far from neutral: earnings decline through both job displacement and lower earnings among stayers from target firms. We find little evidence that these earnings declines reflect increased monopsony power, reduced labor demand, the disruption of implicit contracts, or pay-policy harmonization. Instead, the losses are concentrated in acquisitions involving pre-existing personnel or ownership connections between the acquirer and target. In common-manager acquisitions, target-stayer earnings declines coincide with increases in acquiring-firm profits and CEO pay, without a corresponding expansion in combined firm size. Acquisitions between firms already in the same firm group display broadly similar patterns. This joint pattern is consistent with a decline in rent sharing and a redistribution of rents from target workers toward executives and shareholders. These findings imply that the labor-market effects of acquisitions may arise not only from reductions in competition, as documented in previous work, but also from changes in the division of rents between firms and workers.

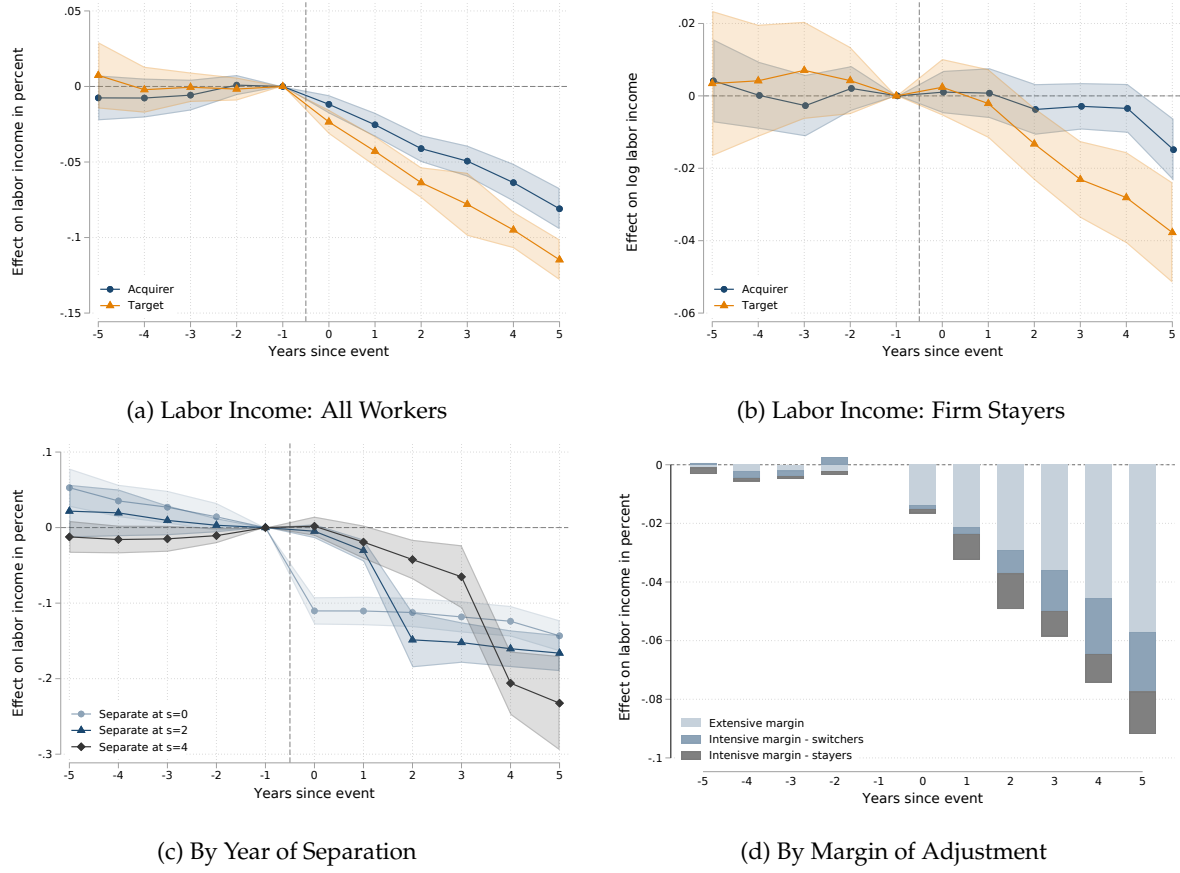
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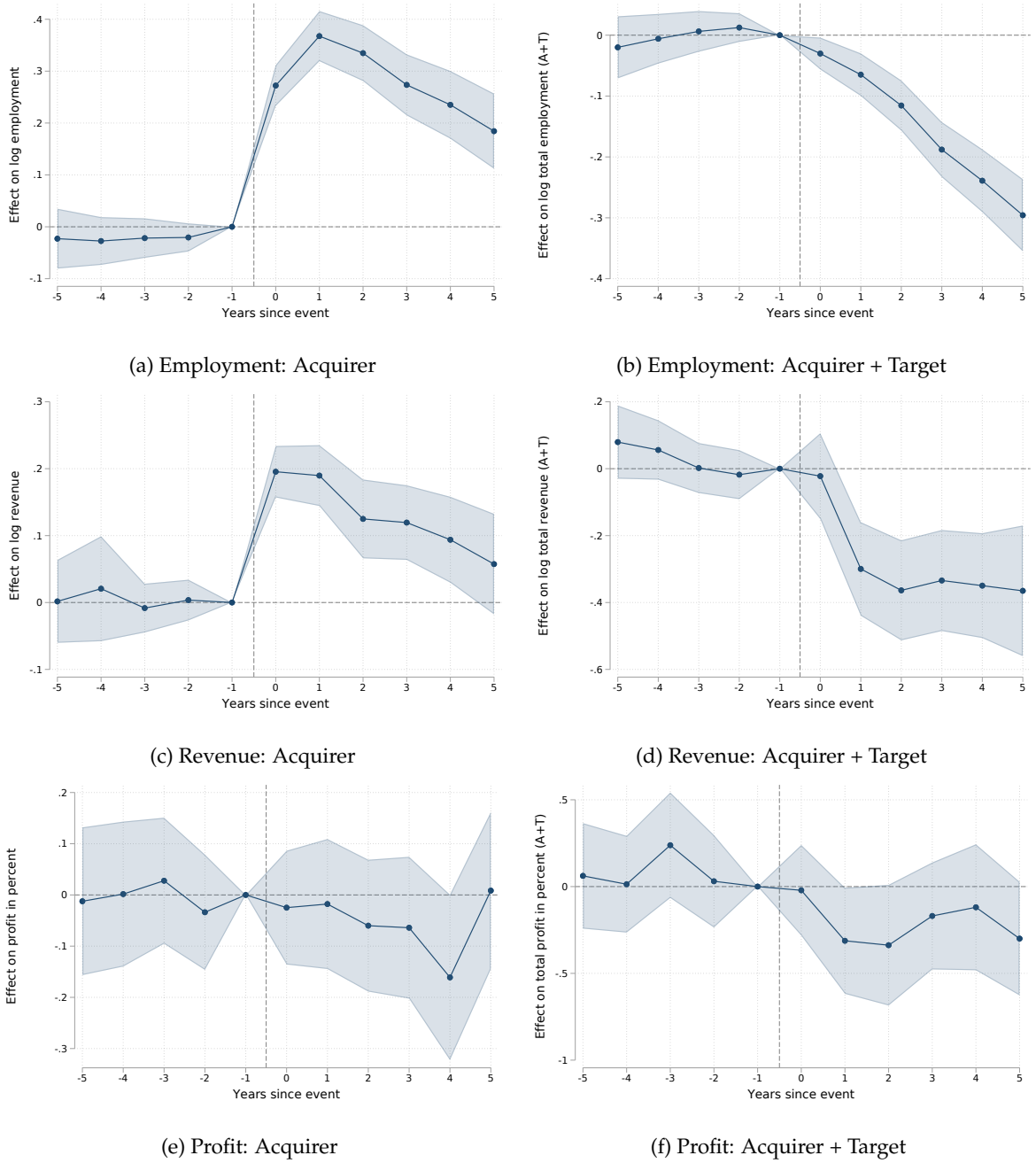
7 Figures

Figure 1: Effects of Acquisitions on Labor Income



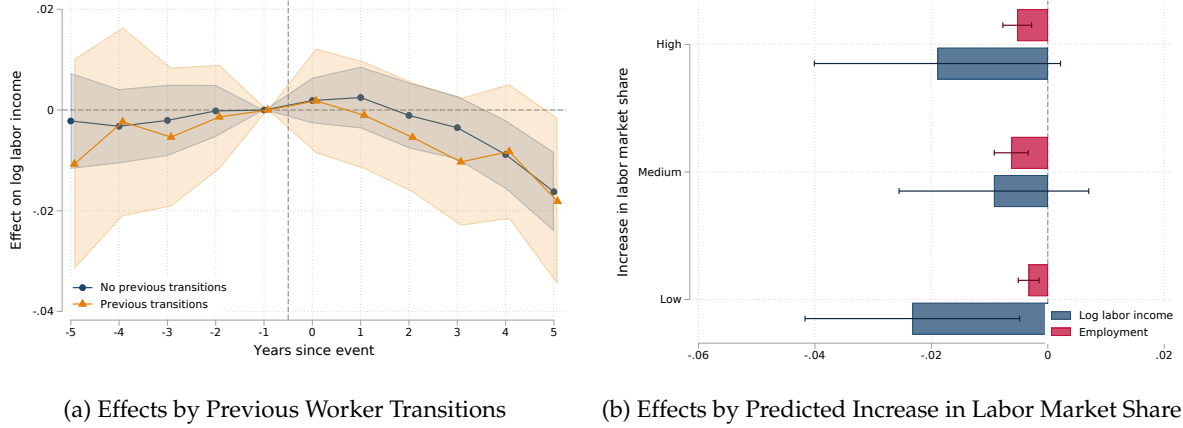
Notes: This figure shows the effects of acquisitions on labor market outcomes. Coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. We reweight control units to match the distribution of treated units based on gender, age, and education, measured in period $s = -5$. **Panel (a)** shows the estimated effects on annual labor market income divided by average labor income of treated units in the year before the acquisition. We report estimates separately for workers who were employed at the acquirer firm in the year prior to the acquisition and those who were employed at the target firm. **Panel (b)** shows the effects on log annual labor income for those workers who remain at the acquiring firm (or, pre-acquisition, target firm) throughout the sample period. **Panel (c)** shows the relative effects of acquisitions on annual labor income for workers who separate from the acquiring firm into unemployment or transition to another firm. We split the sample based on the year of separation of treated workers. Shaded areas are 95% confidence intervals where standard errors are two-way clustered at the worker and event level. **Panel (d)** plots the dynamic decomposition of annual labor income relative to the year before the event according to equation (4). We partition the sample into workers who are not employed (extensive margin), workers who remain employed, but switch to other firms (intensive margin - switchers), and workers who remain employed at the acquiring (or pre-event target) firm (intensive margin - stayers). Employment is defined as having annual labor income exceeding 10,000 SEK in a given year.

Figure 2: Effects of Acquisitions on Firm Outcomes



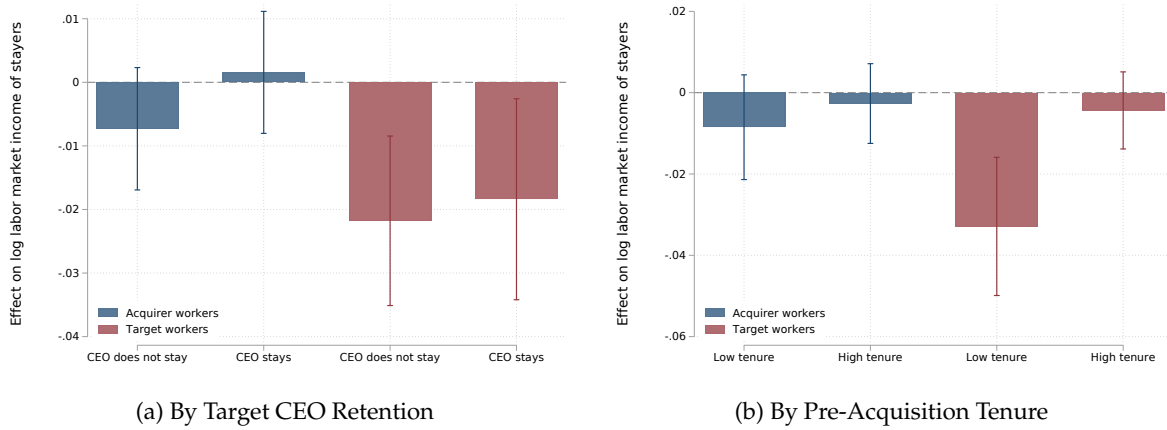
Notes: This figure shows the effects of acquisitions on firm outcomes, where coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the firm sample. Control units are firms that undergo an acquisition seven years after the treated units. **Panel (a)** plots estimated effects on the acquiring firm's log employment in a given year, and **panel (b)** the same for joint employment of the acquiring and target firms. **Panel (c)** plots estimated effects on the acquiring firm's log revenue in a given year, and **panel (d)** the same for joint revenue of the acquiring and target firms. **Panel (e)** plots estimated effects on the acquiring firm's profit relative to average profits of treated units in the year before the event, and **panel (f)** the same for joint profit of the acquiring and target firms. The effects on total revenue and total profit are estimates from the balance sheet firm sample in which we observe both acquiring and target firms' balance sheet information. We reweight control units to match the distribution of treated units based on 2-digit industries and 20 employment bins, measured in period $s = -5$. Shaded areas are 95% confidence intervals where standard errors are clustered at the firm level.

Figure 3: Firm Monopsony Power and Worker Outcomes



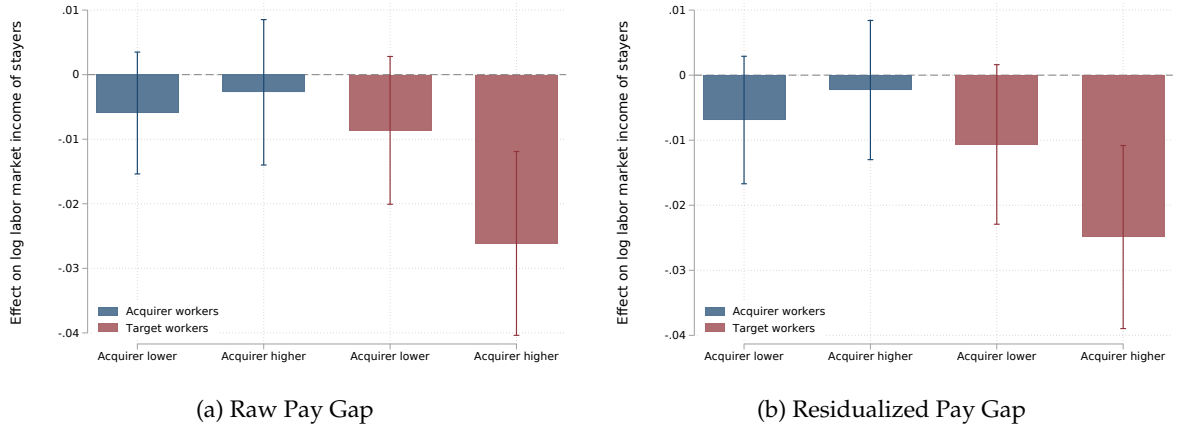
Notes: **Panel (a)** shows the effects of acquisitions on labor income, where coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the worker sample. We restrict the sample to workers who remain at the acquiring firm after the acquisition and then split the sample into two subsamples. The first subsample contains 83% of events in which there were no worker transitions from the acquiring firm to the target firm in the seven years leading up to the acquisition. The second subsample contains the remaining 17% of events in which at least one worker transitioned from the acquiring firm to the target firm in the seven years leading up to the acquisition. **Panel (b)** shows the effects of acquisitions on labor market outcomes, where coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. The outcomes are log annual labor income, conditional on employment, and an indicator for employment, defined as having annual labor income exceeding 10,000 SEK. The sample is split into tertiles by the predicted increase in the acquiring firm's employment share in the worker's labor market. We define this increase as the target firm's employment share in the respective labor market. A labor market is the intersection between one out of 290 municipalities and one out of 148 3-digit occupations. Control units in both panels are workers who experience an acquisition seven years after the treated units. We reweight control units to match the distribution of treated units based on gender, age, and education, measured in period $s = -5$. Shaded areas and whiskers are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.

Figure 4: Implicit Contracts and Stayer Earnings



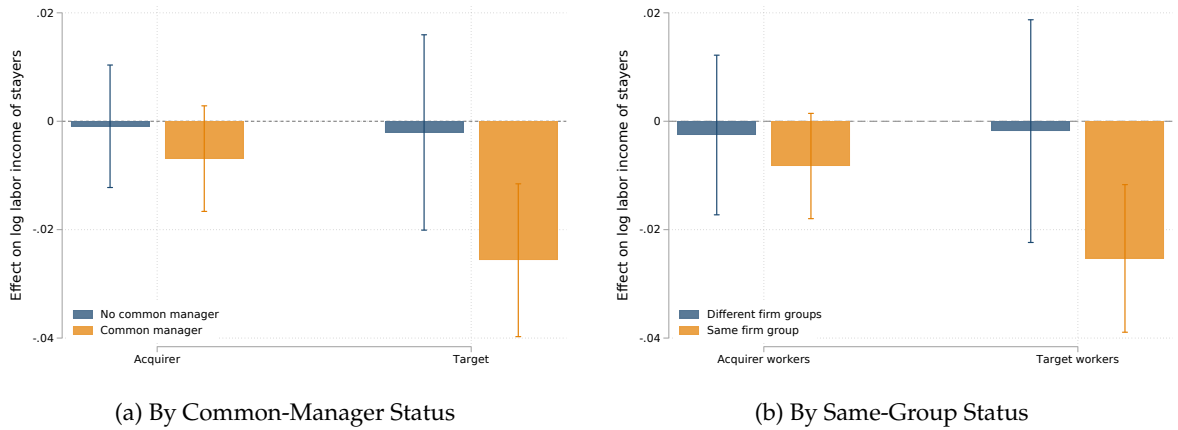
Notes: This figure shows average post-acquisition effects on log annual labor income for acquirer and target stayers. **Panel (a)** splits treated acquisitions by whether the identified target CEO is employed by the acquirer and remains in a managerial role one year after the acquisition. Each treated subgroup is compared with the full corresponding control group. **Panel (b)** splits workers by their tenure one year before the acquisition, defined as the number of consecutive annual observations with the same main employer. High tenure is above the treated median, calculated separately for acquirer- and target-origin workers. Control workers experience an acquisition seven years after the treated workers and are reweighted to match treated workers by gender, age, and education measured in period $s = -5$. Whiskers are 95% confidence intervals and standard errors are two-way clustered at the worker and event level.

Figure 5: Stayer Earnings by the Pre-Acquisition Acquirer–Target Pay Gap



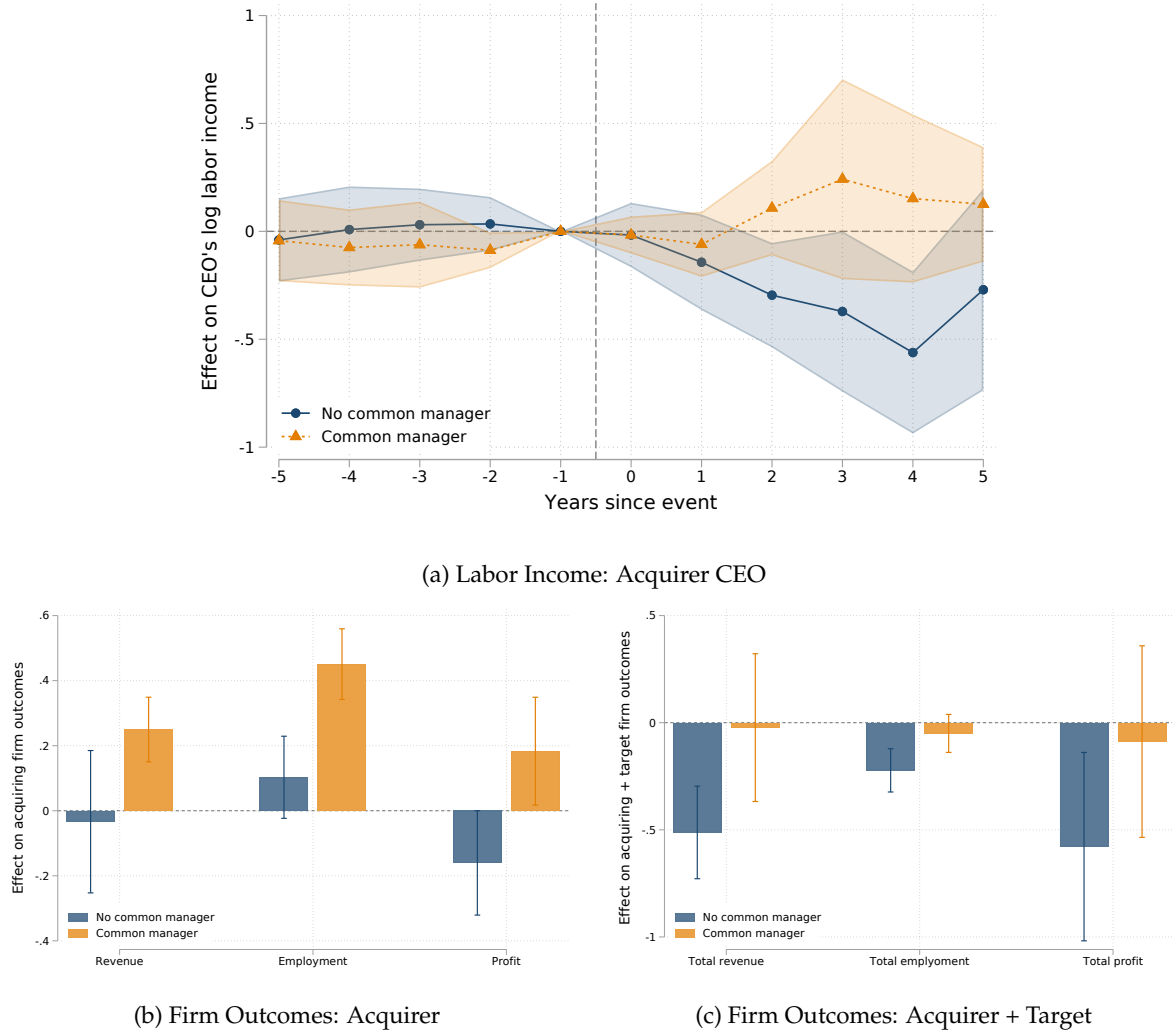
Notes: This figure shows average post-acquisition effects on log annual labor income for acquirer and target stayers. **Panel (a)** splits treated acquisitions by whether the acquirer's average pre-acquisition log pay exceeds the target's. Firm pay is calculated among all employees with positive income and averaged over the common observed years from five to one years before the acquisition. **Panel (b)** repeats the analysis using residualized pay. Residuals are estimated in the full employer–employee data after absorbing the interaction of age decile, year, education group, gender, and county. Control workers experience an acquisition seven years after the treated workers and are reweighted to match treated workers by gender, age, and education measured in period $s = -5$. Whiskers are 95% confidence intervals and standard errors are two-way clustered at the worker and event level.

Figure 6: Pre-Existing Firm Connections and Stayer Earnings



Notes: This figure shows average post-acquisition effects on log annual labor income for acquirer and target stayers. **Panel (a)** splits acquisitions by whether an employee of the acquiring firm sat on the target firm's board one year before the acquisition. **Panel (b)** splits acquisitions by whether the acquirer and target had the same firm-group identifier one year before the acquisition. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. Control workers experience an acquisition seven years after the treated workers and are reweighted to match treated workers by gender, age, and education measured in period $s = -5$. Whiskers are 95% confidence intervals and standard errors are two-way clustered at the worker and event level.

Figure 7: Effects of Acquisitions on Firm and CEO Outcomes by Common Manager



Notes: This figure shows the effects of acquisitions on firm and CEO outcomes. In all panels, we split the sample by whether an employee of the acquiring firm sat on the target firm's board one year before the acquisition. Control units experience an acquisition seven years after the treated units. **Panel (a)** shows event-study estimates for the acquiring-firm CEO's log annual labor income, based on specification (1). CEOs are defined as the acquiring firm's CEO in the year before the acquisition. The average post-acquisition effect is 14% (p-val. 0.16) for events with common managers and -27% (p-val. 0.01) for events without common managers. **Panel (b)** shows average post-acquisition effects on acquiring-firm log revenue, log employment, and profit, divided by the average profit of treated firms in the year before the acquisition. **Panel (c)** shows the corresponding effects on combined acquirer-target outcomes. Combined employment is measured in the main firm sample; combined revenue and profit use the balance-sheet sample in which both firms are observed. Coefficient estimates in panels (b) and (c) are based on stacked DiD models according to specification (2). In all panels, control units are reweighted by 2-digit industry and 20 employment bins measured in period $s = -5$. Shaded areas and whiskers are 95% confidence intervals. Standard errors in panel (a) are two-way clustered at the firm and CEO level; standard errors in panels (b) and (c) are clustered at the firm level.

Online Appendix

The Labor Market Consequences of Acquisitions

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September 20, 2026

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A1 Data Sources

Worker Sample. Information on labor income and workers' employment as well as the geographic location and industry of the workplace are derived from the matched employer-employee data (RAMS). Industries follow the Swedish Standard Industrial classification (SNI). We link these to demographic information on age, gender, and education from the Longitudinal Integrated Database for Health Insurance and Labor Market Studies (LISA), covering the full adult population of Swedish residents. We merge this sample with data on full-time equivalent monthly wages, contracted working hours, and occupations from the Structure of Earnings Survey (SES). The SES covers the full set of public sector employees in Sweden and a random subsample of around 50 percent of the private sector workforce, stratified by industry and firm size, and is typically collected in September - November every year. Labor income and wages are reported in 2018 Swedish Krona (SEK). The main employment of a worker is defined as the worker-firm spell with the highest earnings in a given year. Employment status is defined as having annual labor income exceeding 10,000 SEK. Occupation codes follow Statistics Sweden's (SCB) 4-digit SSYK classification. In a robustness check, we define local labor markets based on educational degrees. These degrees follow SCB's SUN group classification and contain 97 different categories, combining both vertical (e.g. vocational school vs. university) and horizontal (e.g. STEM vs. business) aspects of degrees.

Firm Sample. In our firm sample, we merge firms' employment, measured by the number of employed workers according to the employer-employee data, with information on revenues and operating profits from the Structural Business Statistics (FEK), which contain annual balance sheet data for all non-financial, limited liability companies in Sweden since 1997. Operating profit equals net sales plus other operating income, minus personnel expenses, depreciation and amortization, and other operating expenses. This corresponds to earnings before interest and taxes (EBIT). We winsorize balance sheet outcomes at the 0.5th and 99.5th percentiles for each year. All monetary variables are expressed in 2018 SEK.

We keep all firms with, on average, five employees over our sample period. In our main estimation sample, we restrict the data to cases where we observe both the acquiring and the target firms in the employer-employee data and the acquiring firm in the balance sheet data. All our results on acquiring firms' outcomes and on the joint employment of acquirer and target firms refer to this sample. Results on joint revenues and profits of acquiring and target firms are based on a subsample where both firms are observed in the employer-employee data and the balance sheet data.¹ If an acquiring firm undergoes more than one acquisition, we keep one of the events at random.² We balance our sample by ensuring that the acquiring firm is observed throughout the full event window surrounding the acquisition.

¹Target firms are on average substantially smaller than acquiring firms, both in terms of employment and revenue, and less likely to be a limited liability company. Therefore, the sample with balance sheet information for acquiring and target firms is smaller than the one with such information for at least the acquiring firm.

²Relaxing this restriction does not meaningfully change our results in both the worker and firm sample.

We complement the firm sample with data on board members and CEOs from the Serrano data, linked to the administrative data. We define an acquisition as involving a common manager if, in the year before the acquisition, an employee of the acquiring firm sits on the target's board. Among these employees, 34 percent are classified as CEOs of the acquiring firm. Of the remainder, 58 percent are classified as managers based on their 1-digit occupation code, followed by high-skilled professionals (17 percent). Their median within-firm income rank is at the 96th percentile, suggesting that they typically hold senior managerial or executive positions. For brevity, we refer to acquisitions involving these employees as common-manager acquisitions.

We use Statistics Sweden's Business Register to identify whether the acquirer and target belonged to the same corporate group one year before the acquisition. Firms belong to the same corporate group if one directly or indirectly controls the other through a majority of the voting rights, or if both are controlled by the same ultimate parent company.

A2 Descriptives Sample

In Appendix Table A6.1, we report average firm and worker characteristics in the firm sample, measured in the year before the acquisition. Columns 1 and 2 report descriptives for the full sample of acquisitions, while 3 and 4 report descriptives for the sample where we observe both acquirer and target firms in the balance sheet data. Acquiring firms are around four times larger than target firms in terms of employment and nearly twice as large in terms of revenue. They pay, on average, 17 percent higher salaries, but value-added per worker and average educational attainments are similar. For comparison, in column 5, we report the characteristics of the average Swedish firm not involved in acquisitions. We reweight the calendar time distributions of these firms to match the distribution of acquisition events. Overall, both acquiring and target firms are substantially larger, more productive and profitable, and pay higher salaries than firms not involved in acquisitions. Appendix Figure A5.1 shows the annual distribution of events in the worker and the firm sample. In Appendix Figure A5.2, we report the 2-digit industries of acquiring firms in both samples. The two most common industries are Retail and Manufacturing. In 57 percent of all acquisitions, the acquiring and target firms are within the same 2-digit industry, and in 39 percent of cases, the two firms are within the same 5-digit industry. In about 60 percent of cases, workers initially employed at the acquiring and target firms remain in separate plants after the acquisition (see Appendix Figure A5.3).

A3 Heterogeneity Worker Results

Which types of workers are most affected by acquisitions? To the extent that acquisitions lead to corporate restructuring, one would expect the worst-performing workers to be most at risk of being laid off. Similarly, to the extent that wages are backloaded, high-tenure, older workers

are likely to be most at risk. To examine differences between workers in the effects of acquisitions, we split the sample based on workers' characteristics and estimate our main effects separately within each group. Appendix Figure A5.9 presents the respective average effects on employment for all workers and labor income for those who stay at the acquiring firm post-acquisition. Older workers aged 50 and above experience larger income losses of about 1.3 percent, conditional on staying at the acquiring firm—twice as large as for younger peers. Employment effects differ even more: the likelihood of remaining employed falls by 4.8 percentage points for older workers, compared to 2.5 percentage points for younger workers. We then split the sample by residual pay in the year before the acquisition.³ Effects on labor income for stayers are similar across high and low residual pay groups, but employment losses are much larger for low residual pay workers (5.6 percentage points) than for high residual pay workers (1.5 percentage points).⁴ We then split the sample into four broad occupational groups. Managers and professional workers experience little or no decline in labor income, conditional on staying, and face somewhat smaller risks of unemployment. In contrast, declines are larger for blue-collar workers and for those in administrative and customer service roles. Finally, women are somewhat more likely to become unemployed (3.4 percentage points) than men (2.6 percentage points), while income losses conditional on staying are similar across genders.

A4 What Explains Income Declines Among Displaced Workers?

Declines in labor income among switchers might reflect changes in firm quality, i.e., transition to lower-paying and less-productive employers. On the other hand, these declines could result from a reduction in worker-firm match quality or a loss in firm-specific productivity. To investigate this, we first study four firm-level outcomes. First, using the universe of workers and firms in the Swedish data, we estimate firm pay premia as firm fixed effects in the AKM model (Abowd et al., 1999)

$$y_{it} = \phi_i + \psi_{j(i,t)} + X'_{it}\delta + u_{it} \quad (5)$$

where ϕ_i are worker fixed effects, $\psi_{j(i,t)}$ are firm effects of the firm j where worker i is employed in year t , and X_{it} includes year fixed effects and a squared term of workers' labor market experience.⁵ We then rank firms according to the estimated fixed effects $\hat{\psi}_{j(i,t)}$ from 0 to 100, where the firm with the lowest firm premium is assigned the value 0 and the firm with the highest pay premium is assigned rank 100. Second, we follow Sorkin (2018) and es-

³Residual pay is obtained from a Mincer regression of log income on fixed effects for the interaction of calendar year, age bins, gender, region of residence, and educational degree.

⁴Older and less educated workers are also found to experience larger income losses and slower recovery following mass layoffs (e.g. Davis and von Wachter, 2011; Athey et al., 2024).

⁵We use the largest connected set of workers and firms in the employer-employee data to estimate firm fixed effects.

timate overall job quality provided by firms from voluntary firm-to-firm worker transitions.⁶ This measure captures both pay-related factors as well as non-pay amenities such as flexible working hours, training opportunities, or pleasant colleagues. As before, we rank firms from 0 (worst) to 100 (best). Finally, we examine the effects on firm size in terms of employment and firms' profits. Appendix Figure A5.7c plots the effects of acquisitions on these four firm-level measures for firm switchers. We find that acquisitions lead to transitions to firms that score lower on all measures. The firm pay premium rank drops by 3.1, the overall job value rank decreases by 4, firm size drops by 33.2 percent, and profits by 16.3 percent.

To investigate the role of firm-specific human capital, we follow Woodcock (2015) and estimate worker-firm match effects as average spell-level residuals, after controlling for worker and firm fixed effects.⁷ We find that acquisitions have a small and statistically insignificant effect on worker-firm match effects, especially when compared to the impact of acquisitions on firm fixed effects (see Appendix Table A6.3). Our results are consistent with Lagaras (2024) for Brazil, but differ from (Arnold et al., 2024) for Canada, who find that losses of firm-specific human capital are an important driver of earnings losses following layoffs triggered by mergers and acquisitions. In the mass layoff literature, European studies tend to find a limited role of worker-firm match effects, compared to firm effects (Schmieder et al., 2023; Bertheau et al., 2023) while US studies find the opposite (Lachowska et al., 2020). Overall, these results suggest that workers who separate from the acquiring firm transition to substantially lower-quality employers, contributing to the large losses we find.

⁶We exclude transitions following mass layoffs, acquisitions, and firm closures. See Sorkin (2018) for further details.

⁷Specifically, match effects are estimated as $\hat{\mu}_{ij} = \bar{y}_{ij} - \hat{\phi}_i - \hat{\psi}_{j(i,t)}$ where $\bar{y}_{ij}$ is a worker's average log labor income within an employment spell. See also e.g. Lachowska et al. (2020) for more details.

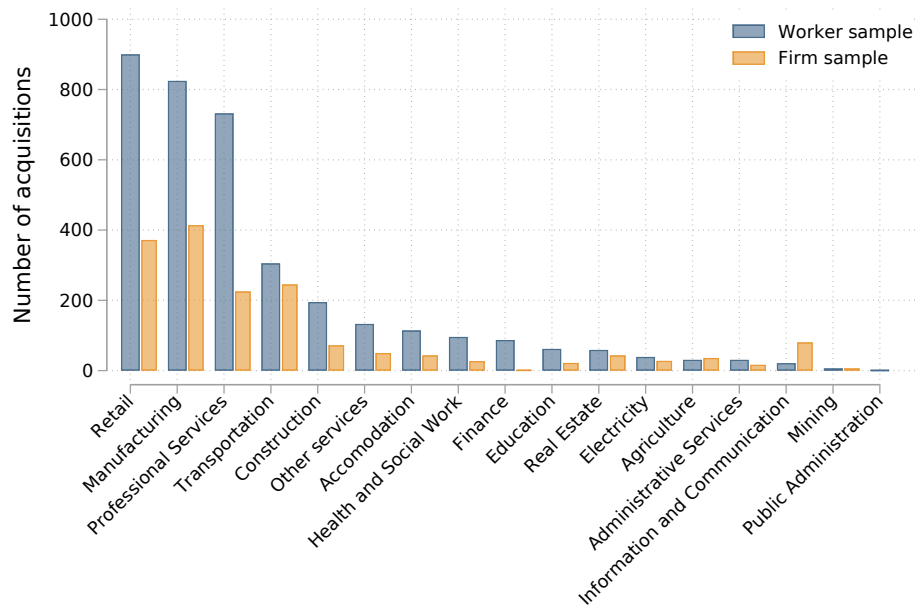
A5 Supplementary Figures

Figure A5.1: Acquisitions over Time



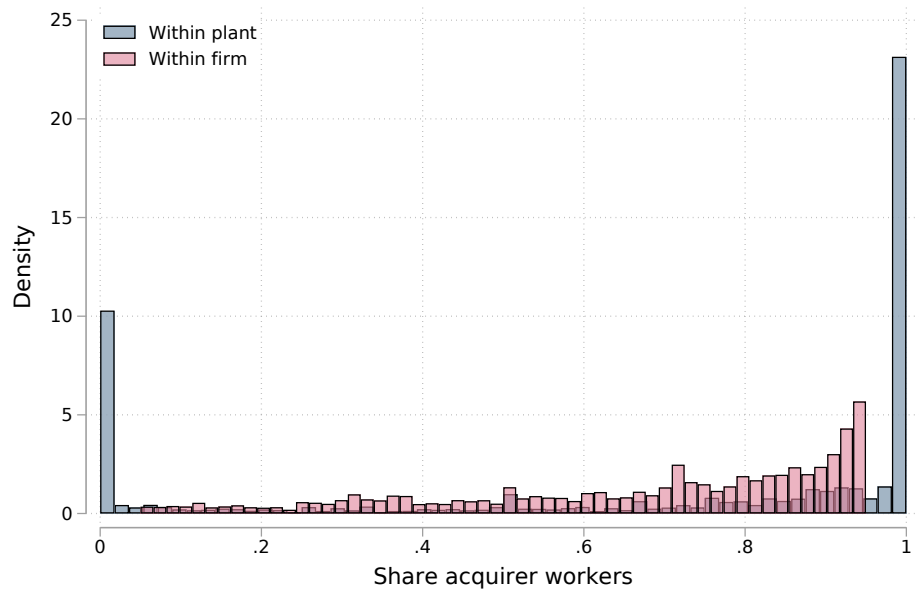
Notes: This figure shows the annual distribution of acquisition events in the worker sample and the firm sample.

Figure A5.2: Acquisitions across 2-digit Industries



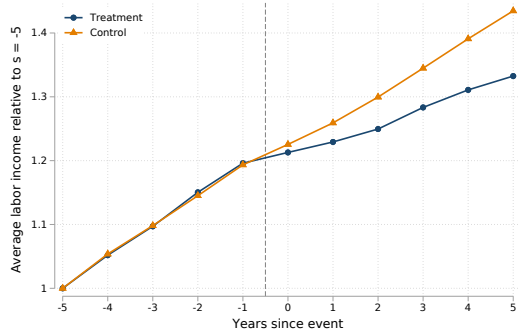
Notes: This figure shows the distribution of acquisition events across 2-digit industries in the worker sample and the firm sample.

Figure A5.3: Share of acquirer workers within firms and plants

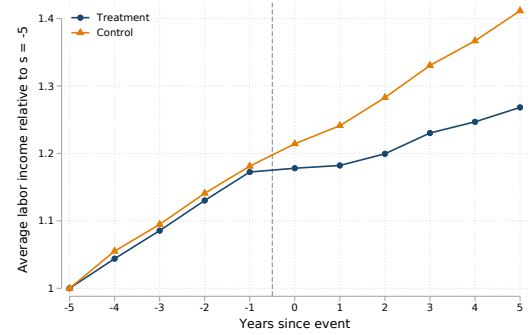


Notes: This figure plots the share of workers initially employed at the acquiring firm, relative to the combined initial workforce of acquirer and target, over the five years following the acquisition. The blue bars show the same share within plant. The sample is restricted to cases where this acquirer firm-share lies between 5% and 95%.

Figure A5.4: The Empirical Design



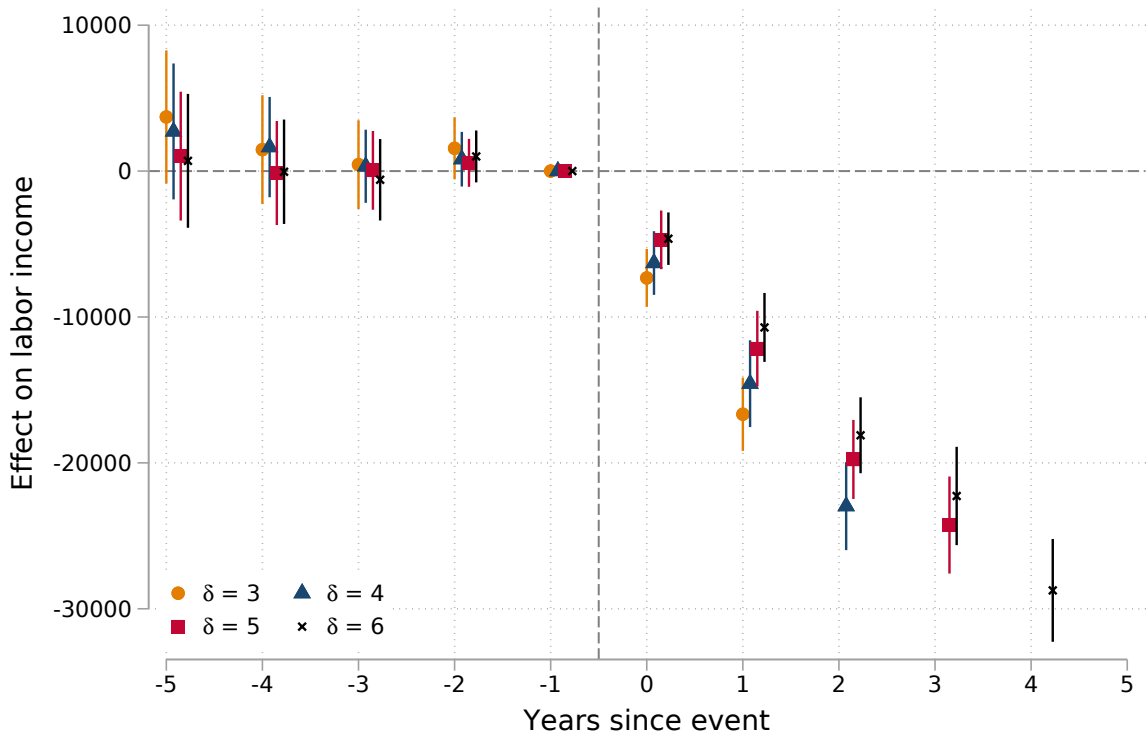
(a) Labor Income: Acquirer Workers



(b) Labor Income: Target Workers

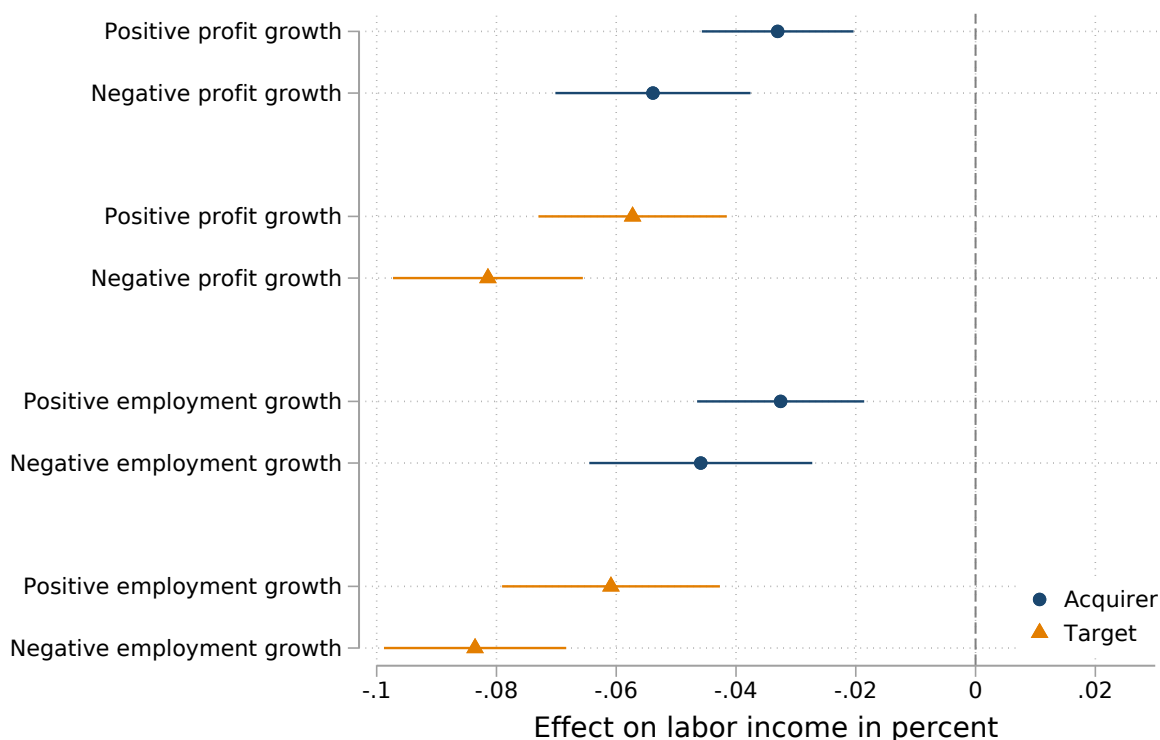
Notes: This figure illustrates our empirical design, plotting average labor income of treatment—which experiences an acquisition at time 0—and the control group which experiences an acquisition at time 7. We normalize labor income by dividing by average income in $s = -5$ for both treated and control workers, respectively **Panel (a)** plots averages for workers who were initially employed at the acquiring firm, and **panel (b)** for those who were initially employed at the target firm.

Figure A5.5: Effects on Labor Income and Robustness to Timing



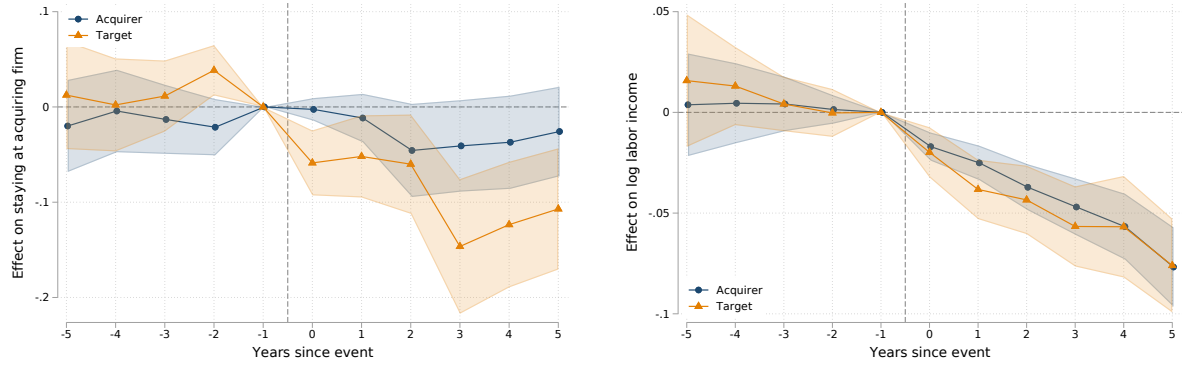
Notes: This figure plots the effects of acquisitions on workers' labor market income. Coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the worker sample. Control units are workers who experience an acquisition δ years after the treated units. In each panel, we vary δ from 3 to 6 and plot post-event estimates for all periods up to and including two years before control workers undergo the acquisition. Whiskers are 95% confidence intervals and standard errors are two-way clustered at the worker and event level. In all panels, we reweight control units to match the distribution of treatment units based on gender, age, and education, measured in period $s = -5$.

Figure A5.6: Effects on Labor Income by Target Firm Growth



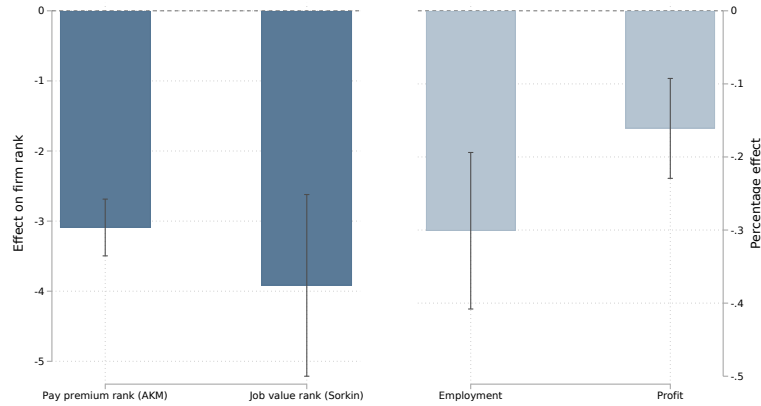
Notes: This figure shows the effects of acquisitions on annual labor market income divided by average labor income of treated units in the year before the acquisition. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. We reweight control units to match the distribution of treatment units based on gender, age, and education, measured in period $s = -5$. We report estimates separately for workers who were employed at the acquirer firm in the year prior to the acquisition and those who were employed at the target firm. We split the sample based on whether the target firm experienced negative or positive growth in employment or profit between period $s = -3$ and period $s = -1$. The split by profit growth is only available for events where we observe the target firm in the balance sheet data. Whiskers are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.

Figure A5.7: Firm Switching



(a) Staying at the Firm

(b) Labor Income of Firm Switchers



(c) Characteristics of New Employers

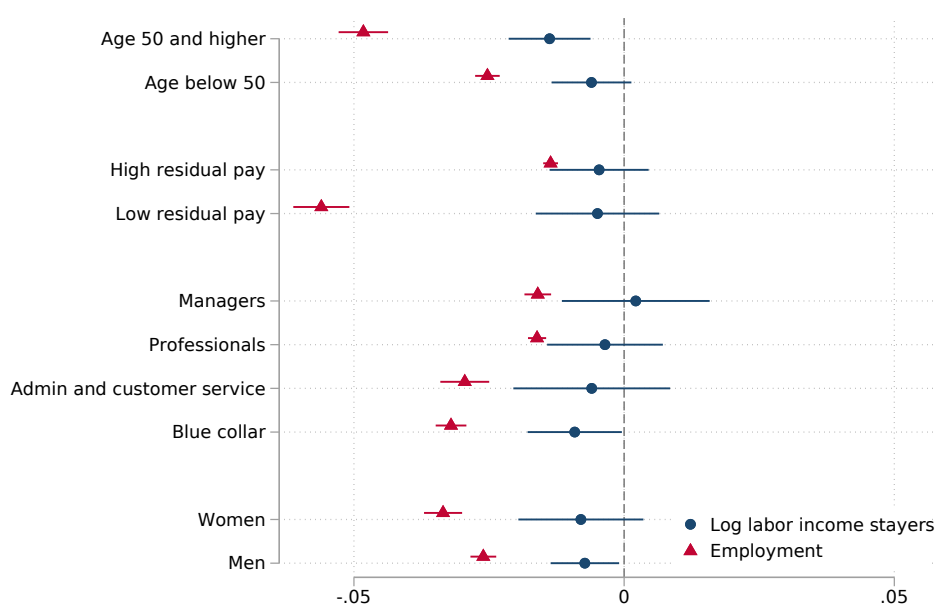
Notes: This figure shows the effects of acquisitions on workers who separate from the acquiring firm post-acquisition. Coefficient estimates are based on stacked DiD event studies according to specifications (1) and (2). Control units are workers who experience an acquisition seven years after the treated units. We reweight control units to match the distribution of treatment units based on gender, age, and education, measured in period $s = -5$. **Panel (a)** shows effects on staying at the acquiring firm. In **Panel (b)**, we plot the estimated effects on annual log labor market income for workers who switched to another firm at some point after the acquisition, conditional on employment. **Panel (c)** shows the effects of characteristics of switchers' new employers. The first bar shows the estimate of AKM firm fixed effect ranks (Abowd et al., 1999) of workers' employers, ranging from 0 (lowest) to 100 (highest). The second bar shows the estimate of job value rank based on Sorkin (2018), ranging from 0 (lowest) to 100 (highest). The third bar displays the coefficient on workers' employers' log employment. The last bar shows the estimate on profits of workers' employers, divided by the average profits of treated units in the year before the acquisition. Shaded areas and whiskers are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.



Figure A5.8: Wages and Hours

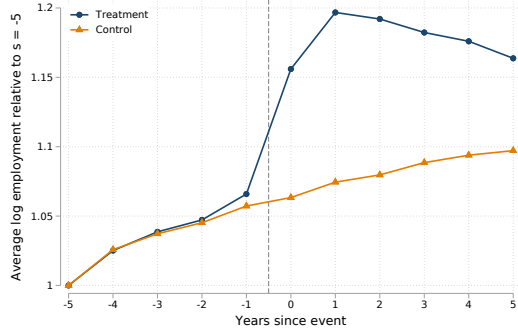
Notes: This figure shows the effects of acquisitions on log hourly wages and log contracted working hours. Coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the worker sample for workers we observe in the Structure of Earnings dataset (see Appendix Section A1 for details). See also Appendix Table A6.2 for differences between this sample and our main estimation sample. Control units are workers who experience an acquisition seven years after the treated units. Shaded areas are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.

Figure A5.9: Heterogeneity in Effects on Labor Market Outcomes

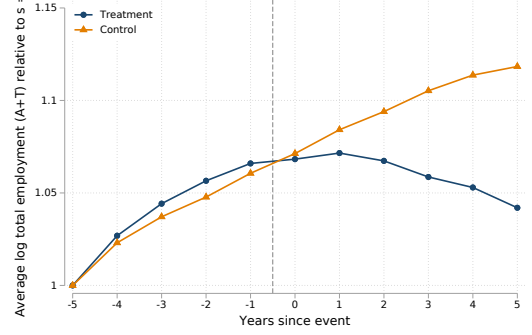


Notes: This figure shows heterogeneity in effects of acquisitions on labor market outcomes. Coefficient estimates are based on the stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. The outcomes are log annual labor income for stayers who remain at the acquiring firm after the event, conditional on having worked throughout the sample period, and an indicator for employment, defined as having annual labor income exceeding 10,000 SEK for all workers involved in the acquisition. In the first two rows, we split the sample by age in the year before the acquisition. Then, we split the sample based on whether the worker's Mincer residual in the year before the acquisition was above the 67th percentile or below the 33rd percentile. We estimate Mincer residuals by regressing log labor income in the total population on fixed effects for the interaction of calendar year, 10 age bins, gender, region of residence, and educational degree. In the next four rows, we split the sample by broad occupational categories, and in the last two rows, we split the sample by gender. Whiskers are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.

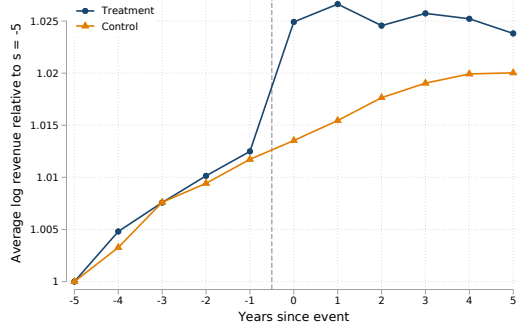
Figure A5.10: Average Firm Outcomes



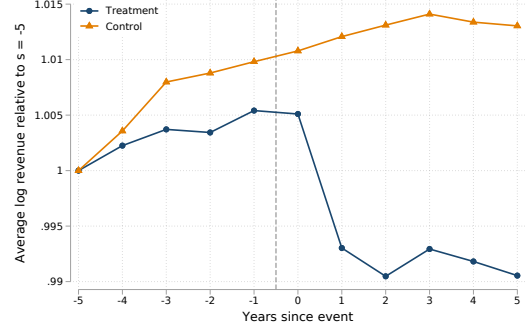
(a) Employment: Acquirer



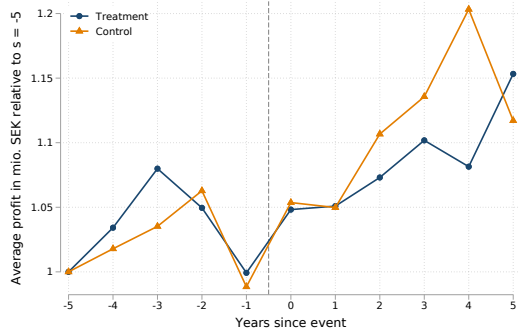
(b) Employment: Acquirer + Target



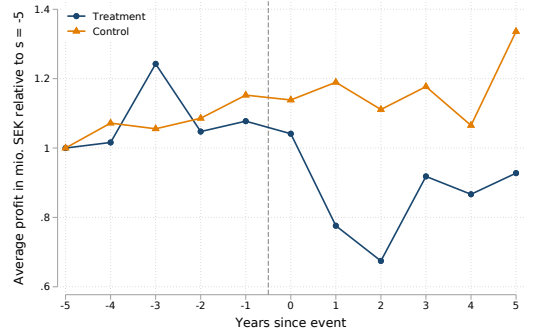
(c) Revenue: Acquirer



(d) Revenue: Acquirer + Target



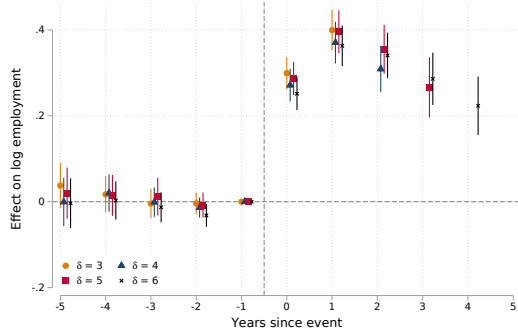
(e) Profit: Acquirer



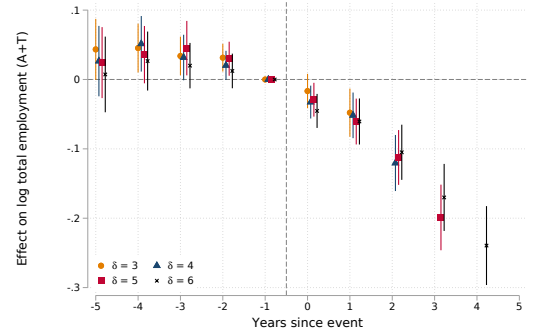
(f) Profit: Acquirer + Target

Notes: This figure shows average firm outcomes for treated and control units in the years before and after an acquisition. We normalize each outcome by dividing by the average outcome for treated and control firms, respectively. **Panel (a)** plots average log employment of acquiring firms, and **panel (b)** the same for joint employment of the acquiring and target firms. **Panel (c)** plots average log revenue of acquiring firms, and **panel (d)** the same for joint revenues of acquiring and target firms. **Panel (e)** plots average profit of acquiring firms in millions of SEK, and **panel (f)** the same for joint profit of acquiring and target firms. We reweight control units to match the distribution of treatment units based on 2-digit industries and 20 employment bins, measured in period $s = -5$.

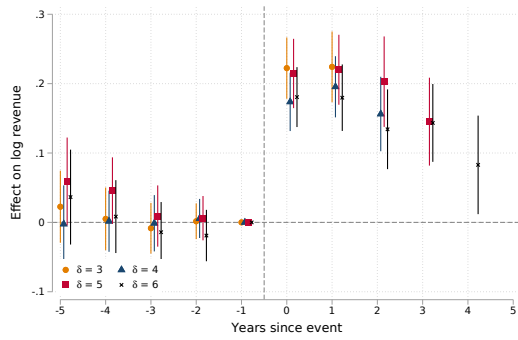
Figure A5.11: The Effects of Acquisitions on Firm Outcomes - Robustness to Timing



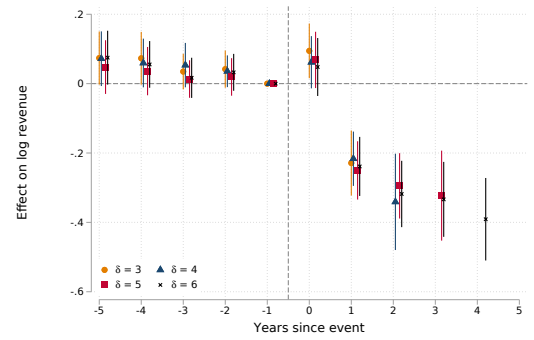
(a) Employment: Acquirer



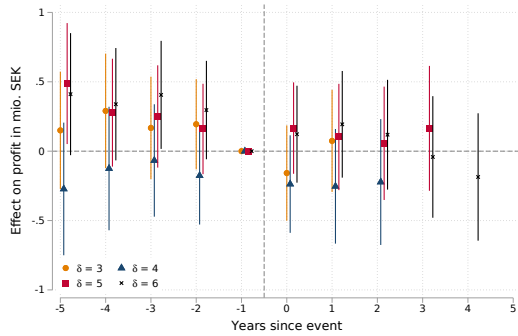
(b) Employment: Acquirer + Target



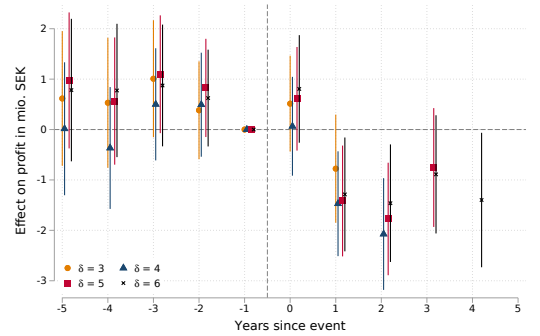
(c) Revenue: Acquirer



(d) Revenue: Acquirer + Target



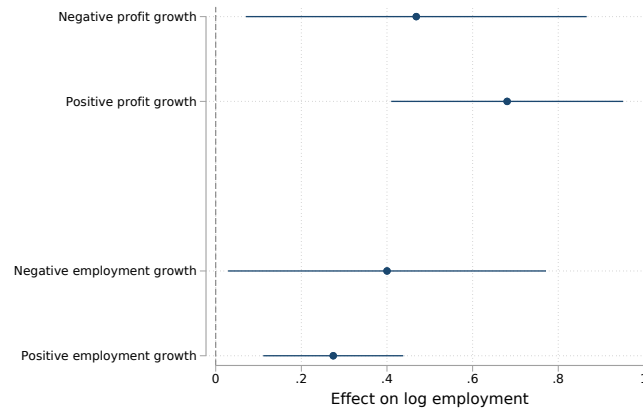
(e) Profit: Acquirer



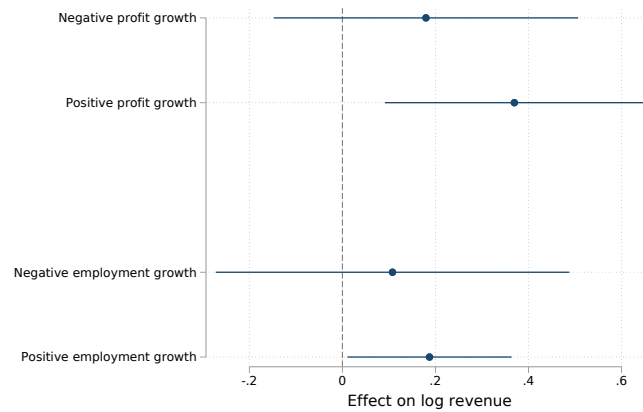
(f) Profit: Acquirer + Target

Notes: This figure shows the effects of acquisitions on firm outcomes, where coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the firm sample. Control units are firms that undergo an acquisition δ years after the treated units. In each panel, we vary δ from 3 to 6 and plot post-event estimates for all periods up to and including two years before control firms undergo the acquisition. **Panel (a)** plots estimated effects on the acquiring firm's log employment, and **panel (b)** the same for joint employment of the acquiring and target firms. **Panel (c)** plots estimated effects on the acquiring firm's log revenue, and **panel (d)** the same for joint revenues of acquiring and target firms. **Panel (e)** plots estimated effects on the acquiring firm's profit in millions of SEK, and **panel (f)** the same for joint profit of acquiring and target firms. We reweight control units to match the distribution of treatment units based on 2-digit industries and 20 employment bins, measured in period $s = -5$. Whiskers are 95% confidence intervals and standard errors are clustered at the firm level.

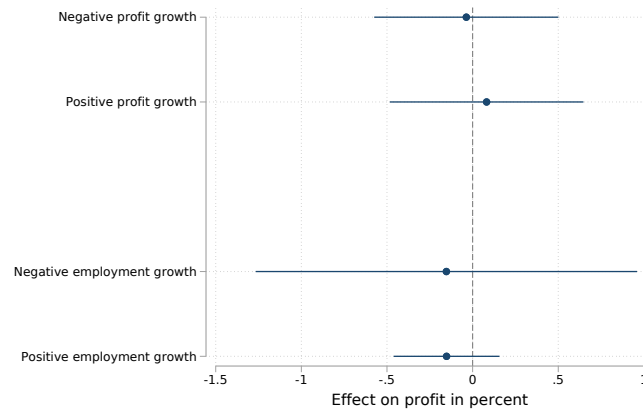
Figure A5.12: Effects on Firm Outcomes by Target Firm Growth



(a) Employment: Acquirer



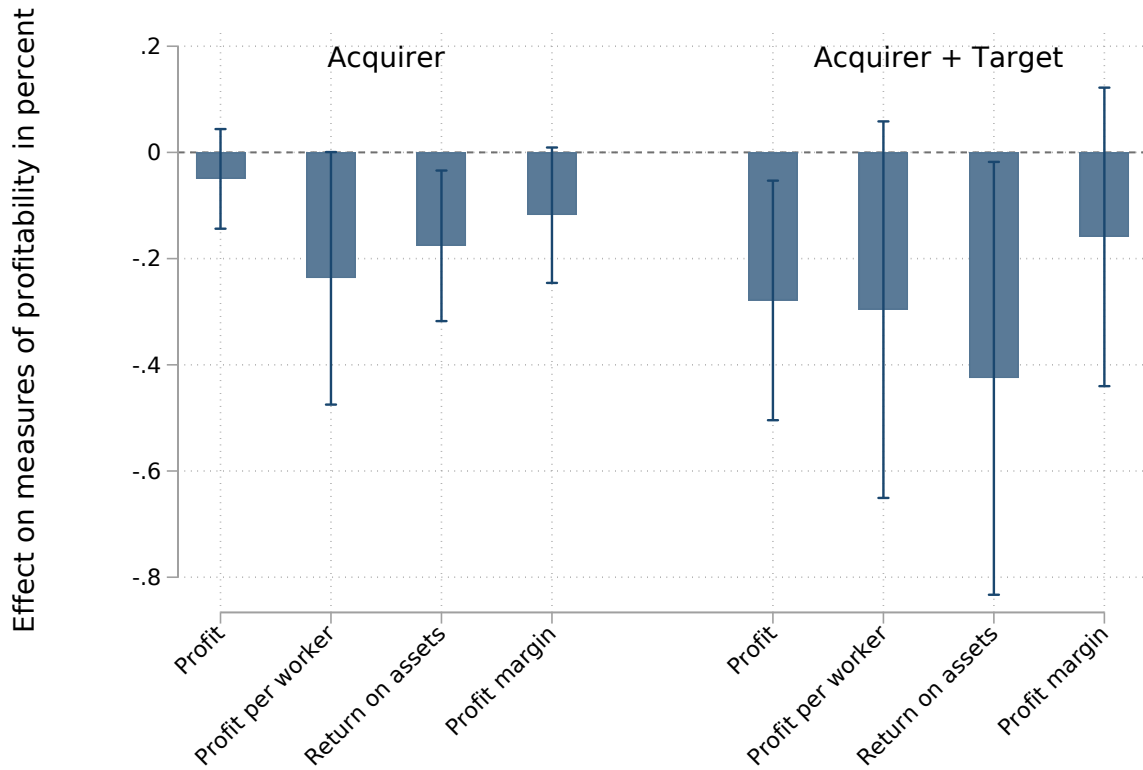
(b) Revenue: Acquirer



(c) Profit: Acquirer

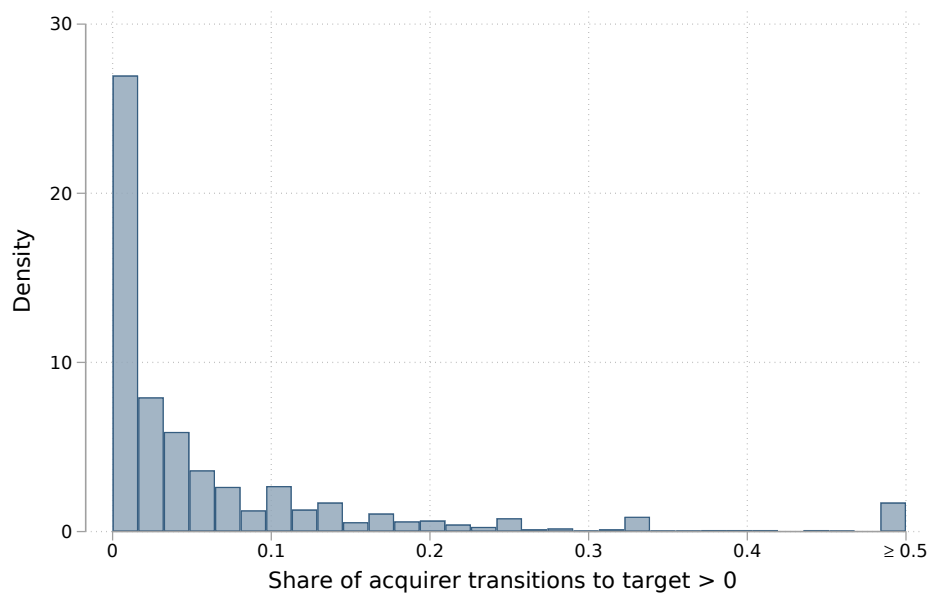
Notes: This figure shows the effects of acquisitions on firm outcomes. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the firm sample. Control units are firms who undergo an acquisition seven years after the treated units. We reweight control units to match the distribution of treatment units based on 2-digit industries and 20 employment bins, measured in period $s = -5$. **Panel (a)** shows results for the acquiring firm's log employment, **panel (b)** for the acquiring firm's log revenue, and **panel (c)** for the acquiring firm's profit divided by the average profit of treated firms in the year before the acquisition. We split the sample based on whether the target firm experienced negative or positive growth in employment or profit between period $s = -3$ and period $s = -1$. The split by profit growth is only available for events where we observe the target firm in the balance sheet data. Whiskers are 95% confidence intervals where standard errors are clustered at the firm level.

Figure A5.13: Different Measures of Profitability



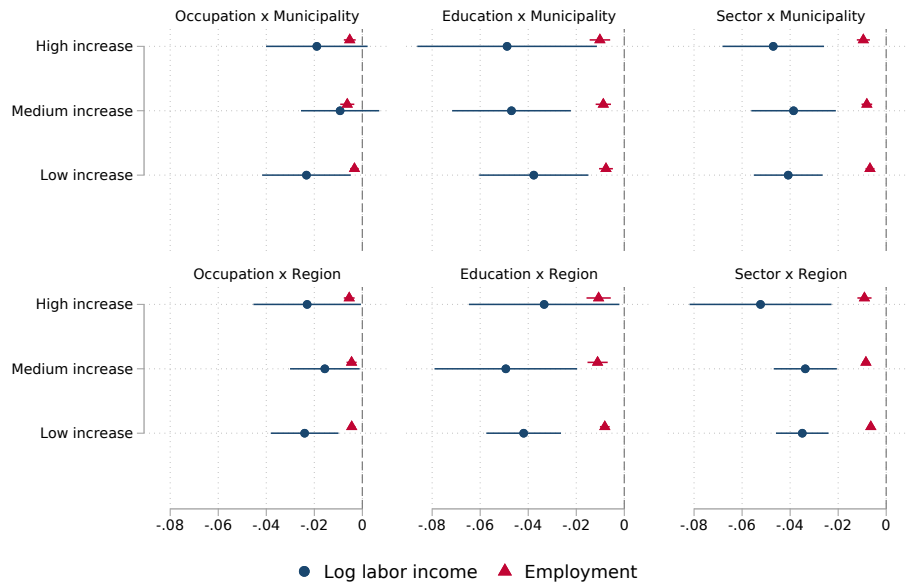
Notes: This figure shows the effects of acquisitions on different measures of firm profitability. These measures are: (operating) profit, profit per worker, return on assets – defined as profit divided by total assets, and profit margin – defined as profit divided by revenue. All outcomes are evaluated relative to the average outcome of treated firms in the year before the acquisition. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the firm sample. Control units are firms that undergo an acquisition seven years after the treated units. We reweight control units to match the distribution of treatment units based on 2-digit industries and 20 employment bins, measured in period $s = -5$. The first four estimates show results for the acquiring firm and the last four estimates for joint acquiring and target firm outcomes. To account for some severe outliers, we winsorize profit margins for the acquiring firm at the 1st and 99th percentiles. Whiskers are 95% confidence intervals where standard errors are two-way clustered at the firm level.

Figure A5.14: Acquirer-Target Transitions Before Acquisition

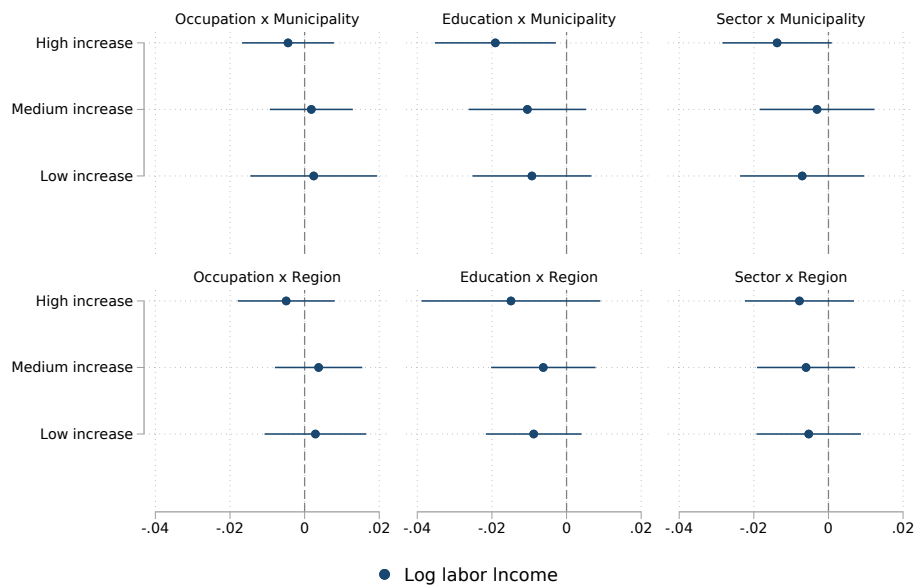


Notes: This figure shows the distribution of worker transitions from the acquiring firm to the target firm, relative to all transitions from the acquiring firm in the seven years leading up to the acquisition. We restrict the distribution to the 17% of events in which there were any acquirer-target transitions. The final bin contains all values greater or equal to 0.5.

Figure A5.15: By Increase in Labor Market Concentration - Alternative Market Definitions



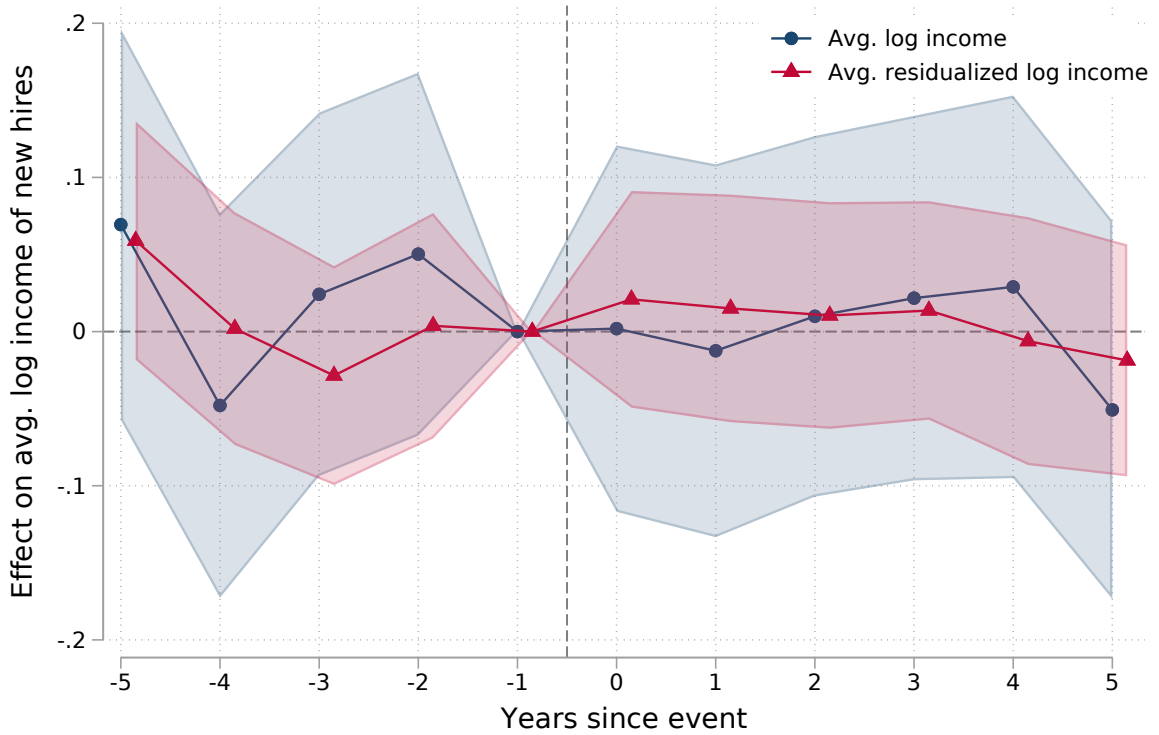
(a) Labor Income and Employment: All Workers



(b) Labor Income: Stayers

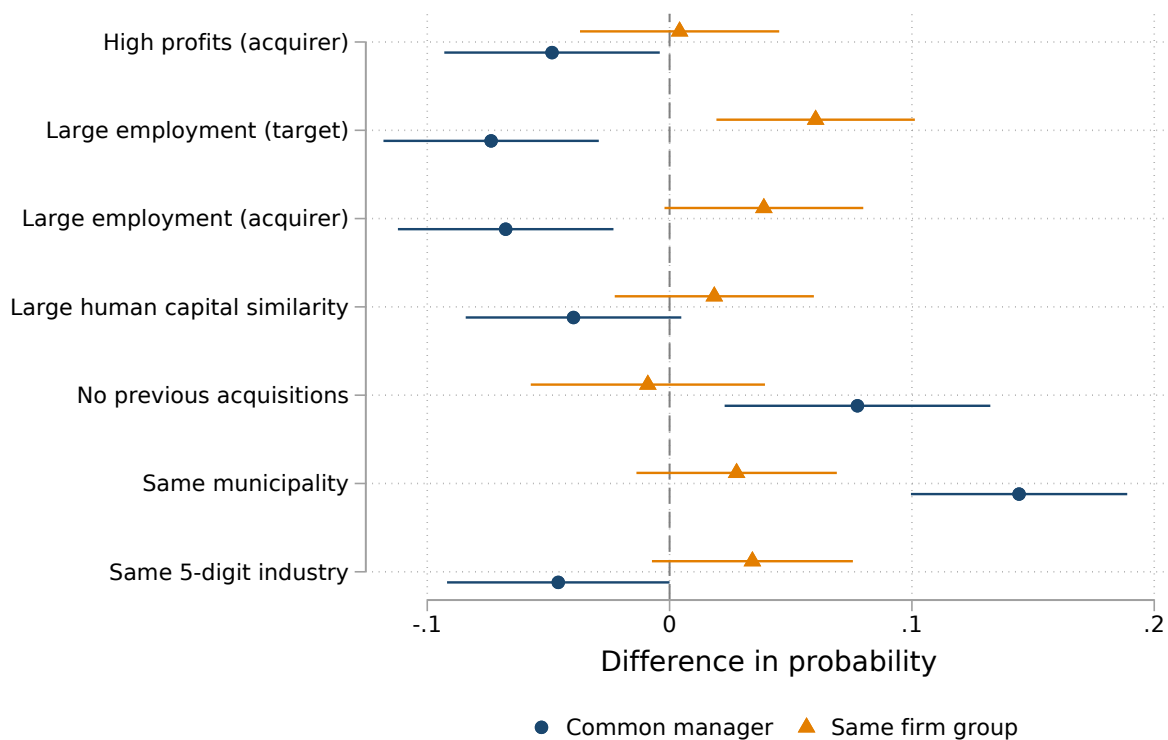
Notes: This figure shows the effects of acquisitions on labor market outcomes, where coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. The outcomes in **panel (a)** are log annual labor market income, conditional on employment, and an indicator for employment, defined as having annual labor market earnings above 10,000 SEK. The sample is split into tertiles by the predicted increase in the acquiring firm's employment share in the worker's labor market. We define this increase as the target firm's employment share in the respective labor market. The six panels plot results for different definitions of local labor markets. We interact a geographic identifier with a worker type. As geographic identifiers we use either one out of 290 municipalities or one out of 21 regions in Sweden. Worker characteristics are either one out of 97 educational degrees, one out of 148 3-digit occupations or one out of 16 2-digit sectors the worker is employed in. **Panel (b)** repeats this exercise for workers who stay at the acquiring firm post-acquisition. Whiskers are 95% confidence intervals and standard errors are two-way clustered at the worker and event level.

Figure A5.16: Average incomes of new hires



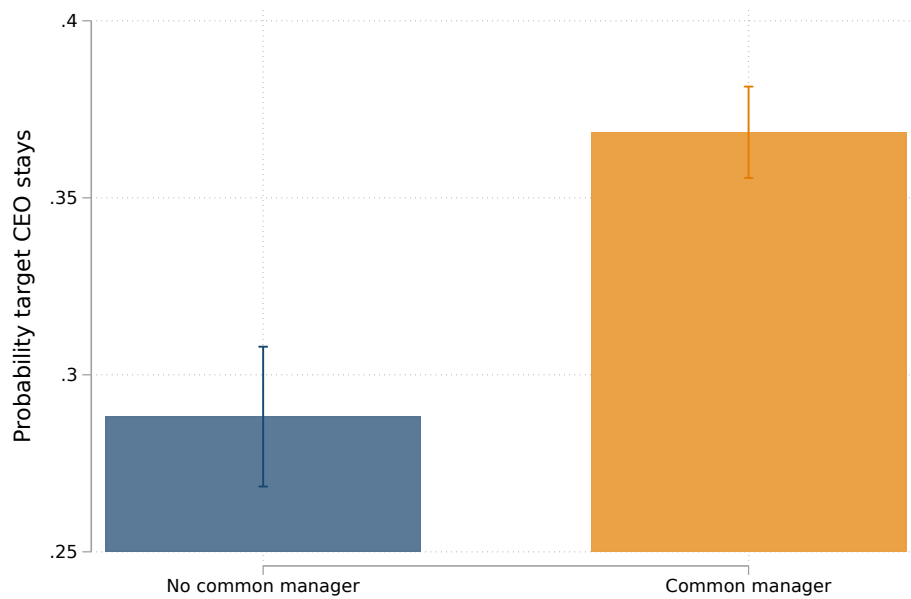
Notes: This figure shows the effects of acquisitions on average log incomes of new hires at the acquiring firm. Coefficient estimates are based on stacked DiD event studies according to specification (1), estimated in the firm sample. Control units are firms who experience an acquisition seven years after the treated units. We report two outcomes: the average log income of all workers who join the acquiring firm in a given year and the average of residualized log incomes of new hires. We residualize log incomes in the full employer-employee sample by regressing log income on fixed effects for calendar year, gender, age, and educational degrees. Shaded areas are 95% confidence intervals where standard errors are clustered at the firm level.

Figure A5.17: Common Manager and Same Firm Group by Event Characteristics



Notes: This figure shows differences in the probability that an acquisition involves a common manager or firms belonging to the same firm group by various event characteristics. These characteristics include above-median profits at the acquirer, above-median employment at the target, above-median employment at the acquirer, above-median human capital similarity between firms, no prior acquisitions by the acquirer, same municipality, and same 5-digit industry. Whiskers are 95% confidence intervals, where standard errors are clustered at the firm level.

Figure A5.18: Target CEO Retention by Common-Manager Status



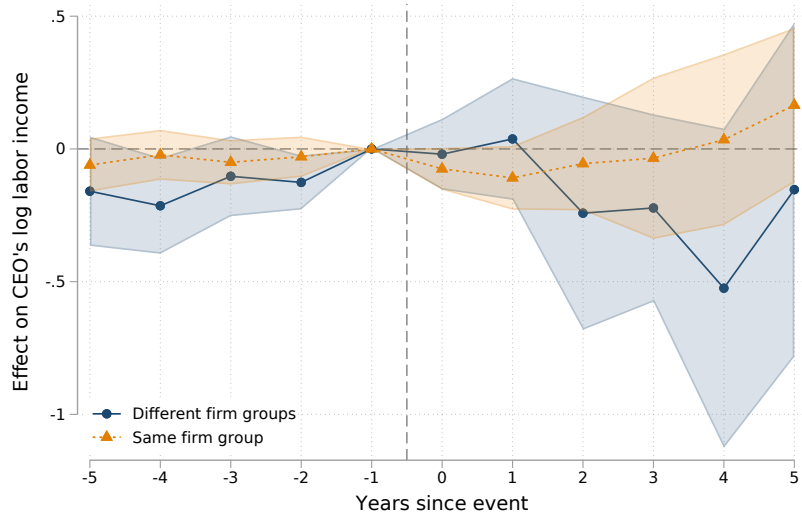
Notes: This figure reports the probability that the identified target CEO is employed by the acquirer and remains in a managerial role one year after the acquisition. Acquisitions are split by whether an employee of the acquiring firm sat on the target firm's board one year before the acquisition. The sample is restricted to events for which a target CEO can be identified. Whiskers are 95% confidence intervals based on robust standard errors.

Figure A5.19: Pre-Existing Connections Between Acquirers and Targets

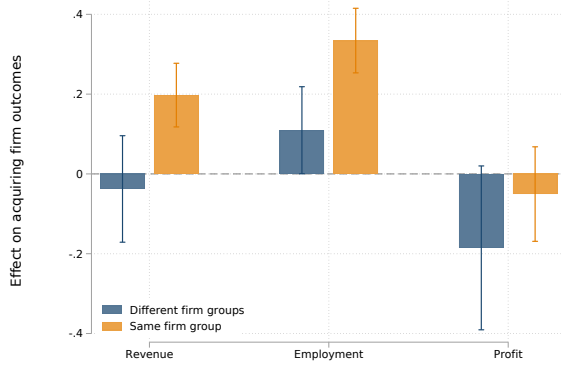


Notes: This figure shows the share of acquisitions involving a common manager, firms belonging to the same corporate group, or both, in each of the five years preceding the acquisition. An acquisition involves a common manager if an employee or CEO of the acquiring firm sits on the target firm's board. The acquirer and target belong to the same corporate group if they have the same firm-group identifier in Statistics Sweden's Business Register. The sample is restricted to acquisitions in the main firm sample for which the boards of both firms are observed in all five pre-acquisition years.

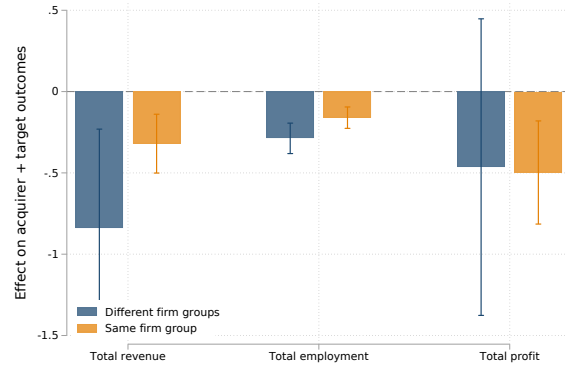
Figure A5.20: Firm and CEO Outcomes by Same-Group Status



(a) Labor Income: Acquirer CEO



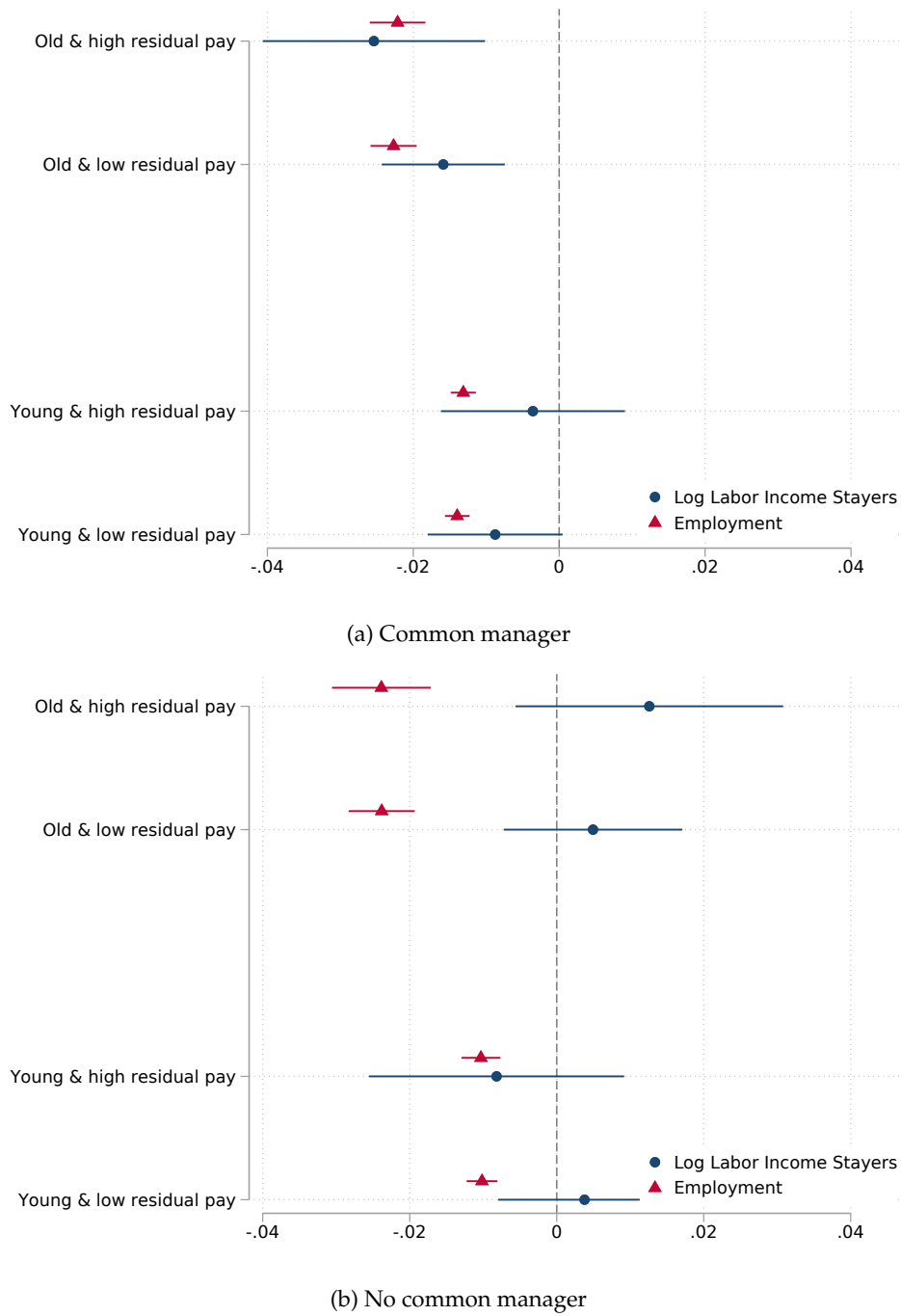
(b) Firm Outcomes: Acquirer



(c) Firm Outcomes: Acquirer + Target

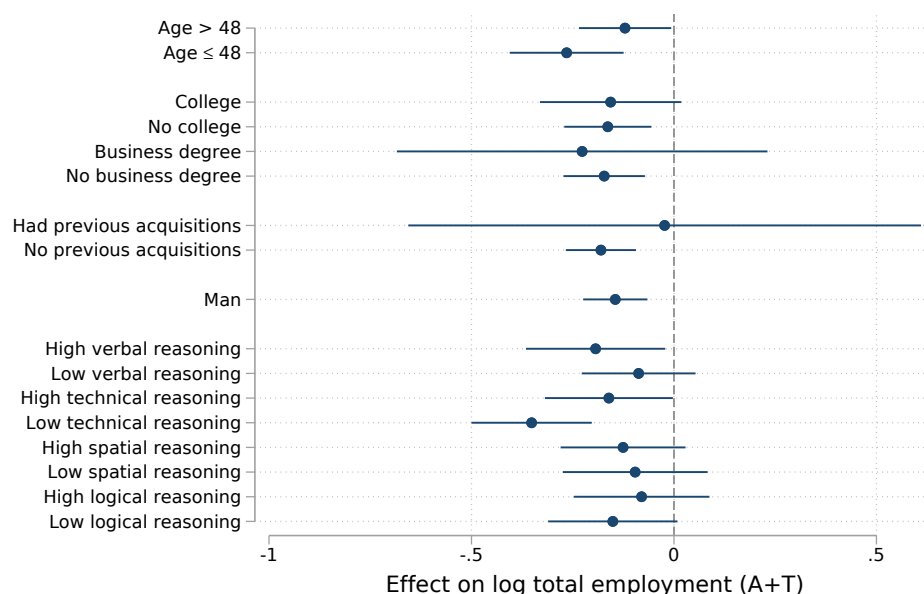
Notes: This figure shows the effects of acquisitions on firm and CEO outcomes, split by whether the acquirer and target had the same firm-group identifier one year before the acquisition. Control units experience an acquisition seven years after the treated units and are classified by their status at their own acquisition. **Panel (a)** shows event-study estimates for the acquiring-firm CEO's log annual labor income. CEOs are defined as the acquiring firm's CEO in the year before the acquisition. Standard errors are two-way clustered at the firm and CEO level. **Panel (b)** shows average post-acquisition effects on acquiring-firm revenue, employment, and profit. **Panel (c)** shows the corresponding effects on combined acquirer–target outcomes. Combined employment is measured in the main firm sample; combined revenue and profit use the balance-sheet sample in which both firms are observed. Profit estimates are divided by the pre-acquisition mean. In all panels, control units are reweighted by 2-digit industry and 20 employment bins measured in period $s = -5$. Shaded areas and whiskers are 95% confidence intervals; standard errors in panels (b) and (c) are clustered at the firm level.

Figure A5.21: Effects by Worker Age and Pay

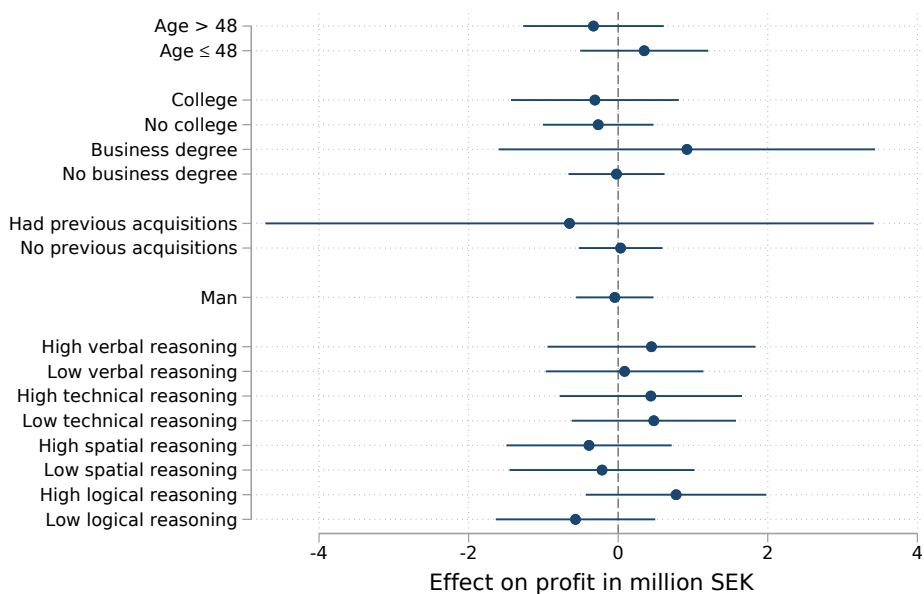


Notes: This figure shows heterogeneity in effects of acquisitions on labor market outcomes. Coefficient estimates are based on the stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. The outcomes are log annual labor income for stayers who remain at the acquiring firm after the event, conditional on having worked throughout the sample period, and an indicator for employment, defined as having annual labor income exceeding 10,000 SEK for all workers involved in the acquisition. We split the sample into four disjoint groups based on whether workers were old (50 years and above) or young (below 50 years), and based on whether they had high (above 66th percentile) or low (below 33rd percentile) residual pay in the year prior to the acquisition. We estimate Mincer residuals by regressing log labor income in the total population on fixed effects for the interaction of calendar year, 10 age bins, gender, region of residence, and educational degree. **Panel (a)** shows estimates for acquisitions with common manager and **panel (b)** for those without common manager. Common-manager acquisitions are defined as events in which an employee of the acquiring firm sat on the target firm's board one year before the acquisition. Whiskers are 95% confidence intervals where standard errors are two-way clustered at the worker and event level.

Figure A5.22: The Effects of Acquisitions on Firm Outcomes by CEO Characteristics



(a) Employment: Acquirer + Target



(b) Profit: Acquirer

Notes: This figure shows the effects of acquisitions on firm outcomes, where coefficient estimates are based on stacked DiD models according to specification (2), estimated in the firm sample. Control units are firms that undergo an acquisition δ years after the treated units. The outcome in **panel (a)** is the log joint employment of acquiring and target firms. In **panel (b)**, we plot estimates for acquiring firms' profits in millions of SEK. In both panels, we split the sample based on characteristics of the acquiring firm's CEO in the year before the acquisition: age (above or below 48), college degree, business college degree, prior acquisition experience as CEO, gender, and cognitive skills (above or below median verbal, technical, spatial, or logical reasoning scores from military enlistment data). We do not display coefficients for female CEOs due to small sample size. We reweight control units to match the distribution of treatment units based on 2-digit industries and 20 employment bins, measured in period $s = -5$. Whiskers are 95% confidence intervals and standard errors are clustered at the firm level.

A6 Supplementary Tables

Table A6.1: Firm Sample: Descriptives

	Full sample		Balance sheet sample		
	Acquirer	Target	Acquirer	Target	Other Firms
Profit in mio. SEK	3.36	–	3.18	1.55	0.94
Revenue in mio. SEK	78.43	–	82.32	45.37	22.96
VA per worker in 1000 SEK	1,450	–	1,887	1,831	957
Number of employees	155.63	32.42	171.46	41.16	27.82
Avg. earnings	307,120	275,259	320,193	273,844	215,921
Avg. years of educ.	11.79	11.67	11.93	11.72	11.50
Avg. age	40.36	42.14	40.29	40.20	37.51

Note: This table reports average firm and worker characteristics in the year before the acquisition. **Columns 1 and 2** show acquiring and target firms in the full sample, where we observe all firms in the employer-employee data and acquiring firms in the balance sheet data. **Columns 3 and 4** restrict to the subsample where acquirer and target firms appear in both data sources. **Column 5** reports characteristics of all firms in the balance sheet data, regardless of acquisition status, reweighted to match the calendar time distribution of acquiring firms.

Table A6.2: Full Worker Sample vs. Wage Sample

	Full sample	Wage sample		
	(1) Log Labor Income	(2) Log Labor Income	(3) Log Wage	(4) Log Hours
Post x Treatment	-0.0287*** (0.00469)	-0.00587 (0.00450)	-0.00534 (0.00387)	-0.00875*** (0.00185)
Constant	12.69*** (0.00134)	12.76*** (0.00151)	10.33*** (0.00130)	4.557*** (0.000622)
Person FE	Yes	Yes	Yes	Yes
Event-time FE	Yes	Yes	Yes	Yes
Observations	3714832	1904131	1904131	1904131

Standard errors in parentheses

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Note: This table reports effects of acquisitions on workers' labor income, wages and working hours. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. **Column 1** reports the estimated effect on log annual labor income in the full worker sample, conditional on being employed throughout the sample period. In **columns 2 - 4**, we restrict the sample to those workers whom we observe in the Structure of Earnings data (see Section 2) and report estimated coefficients on log labor income, log wages, and log working hours. Standard errors are two-way clustered at the worker and event level.

Table A6.3: Effects on Firm and Match Effects of Firm Switchers

	(1) Log Labor Income	(2) Firm Effect	(3) Match Effect
Post x Treatment	-0.0456*** (0.00662)	-0.0632*** (0.00523)	-0.0145 (0.0125)
Constant	12.66*** (0.00194)	0.231*** (0.00153)	0.0625*** (0.00367)
Person FE	Yes	Yes	Yes
Event-time FE	Yes	Yes	Yes
Observations	2121537	2121537	2121537

Standard errors in parentheses

* $p < 0.05$, ** $p < 0.01$, *** $p < 0.001$

Note: This table reports effects of acquisitions on switchers' labor income, firm effects and firm-worker match effects. Coefficient estimates are based on stacked DiD models according to specification (2), estimated in the worker sample. Control units are workers who experience an acquisition seven years after the treated units. We estimate firm effects from an AKM model (Abowd et al., 1999) and worker-firm match effects as average spell-level residuals following Woodcock (2015). Standard errors are two-way clustered at the worker and event level.

Table A6.4: Acquisition Effects by Pre-Existing Firm Connections

Panel A: Common-manager split			
	Common manager	No common manager	
	Unweighted	Unweighted	Reweighted
<i>Workers</i>			
Acquiring-firm stayers: log labor income	-0.010* (0.005)	-0.001 (0.006)	0.001 (0.008)
Target-firm stayers: log labor income	-0.027*** (0.008)	-0.005 (0.010)	-0.010 (0.012)
<i>Managers</i>			
Acquiring CEO: log labor income	0.162 (0.102)	-0.256* (0.101)	-0.294* (0.125)
<i>Acquiring firm</i>			
Log revenue	0.250*** (0.051)	-0.035 (0.111)	0.039 (0.067)
Log employment	0.451*** (0.055)	0.102 (0.064)	0.115 (0.066)
Profit relative to pre-acquisition mean	0.183* (0.084)	-0.161* (0.082)	-0.240* (0.103)
<i>Acquirer and target</i>			
Log revenue	-0.023 (0.169)	-0.549*** (0.125)	-0.506** (0.146)
Log employment	-0.050 (0.045)	-0.223*** (0.051)	-0.240*** (0.060)
Profit relative to pre-acquisition mean	-0.088 (0.220)	-0.662** (0.223)	-0.688* (0.259)
Panel B: Same-firm-group split			
	Same firm group	Different firm groups	
	Unweighted	Unweighted	Reweighted
<i>Workers</i>			
Acquiring-firm stayers: log labor income	-0.013** (0.005)	-0.002 (0.009)	-0.014 (0.017)
Target-firm stayers: log labor income	-0.028*** (0.007)	-0.005 (0.012)	-0.035* (0.015)
<i>Managers</i>			
Acquiring CEO: log labor income	-0.022 (0.092)	-0.024 (0.139)	-0.043 (0.129)
<i>Acquiring firm</i>			
Log revenue	0.150*** (0.038)	-0.074 (0.092)	-0.019 (0.095)
Log employment	0.276*** (0.045)	0.114 (0.070)	0.237* (0.096)
Profit relative to pre-acquisition mean	-0.019 (0.065)	-0.184 (0.112)	-0.143 (0.130)
<i>Acquirer and target</i>			
Log revenue	-0.306** (0.098)	-0.962* (0.313)	-0.899* (0.323)
Log employment	-0.159*** (0.037)	-0.263*** (0.057)	-0.171* (0.067)
Profit relative to pre-acquisition mean	-0.585** (0.170)	-0.340 (0.415)	-0.490 (0.441)

Notes: This table shows average post-acquisition effects on worker, acquiring-CEO, and firm outcomes. Coefficient estimates are based on stacked DiD models according to specification (2). **Panel A** splits acquisitions by whether an employee of the acquiring firm sat on the target firm's board one year before the acquisition. **Panel B** splits acquisitions by whether the acquirer and target belonged to the same firm group one year before the acquisition. In each panel, the first two columns report estimates without additional reweighting by connection status. The final column reweights acquisitions without the relevant connection to match acquisitions with that connection. These weights balance the samples by the other connection measure, whether the firms are located in the same municipality, whether they operate in the same industry, the acquirer's previous acquisition activity, and pre-acquisition employment, using two employment bins. All columns are estimated on the corresponding common-support sample. Control units experience an acquisition seven years after the treated units and are reweighted to match treated units based on pre-acquisition characteristics. Worker estimates are for employees who remain at the acquiring firm after the acquisition. Profit effects are expressed relative to average pre-acquisition profit among treated firms. Standard errors are reported in parentheses and are two-way clustered at the worker and event level for worker outcomes, at the firm and CEO level for CEO outcomes, and at the firm level for firm outcomes.

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